

Hospitality Market Report

Orange County - CA USA

PREPARED BY

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HOSPITALITY MARKET REPORT

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Overview

Orange County Hospitality

12 Mo Occupancy	12 Mo ADR	12 Mo RevPAR	12 Mo Supply	12 Mo Demand
74.5%	$219	$163	22M	16.4M

Orange County remains one of the most complex and diverse lodging markets in Southern California, supported by a broad mix of leisure, group, corporate, and resort-oriented demand. Unlike many coastal California markets that rely heavily on a single source of visitation, Orange County benefits from multiple demand generators that are geographically dispersed and serve distinct traveler segments. Momentum strengthened toward year-end 2025 and continued in 2026, resulting in trailing 12-month RevPAR growth of 9.4% through September.

Anaheim functions as the county's primary tourism hub, anchored by Disneyland Resort and the Anaheim Convention Center, while Newport Beach, Laguna Beach, and Dana Point comprise one of the state's premier coastal resort corridors. At the same time, Irvine, Santa Ana, and Costa Mesa provide a substantial business travel component supported by concentrations of professional services firms, financial institutions, healthcare organizations, higher education facilities, and regional corporate headquarters. This combination of tourism infrastructure, coastal recreation amenities, convention activity, and employment centers creates a lodging market with a relatively balanced demand profile and a broader foundation than many competing West Coast destinations.

Recent market conditions have reflected a gradual transition from the moderation experienced through much of 2025 toward stronger operating momentum in 2026. Leisure travel continues to represent the largest source of room demand, supported by Orange County's beaches, entertainment offerings, and favorable drive-to accessibility from Southern California's population base. However, demand growth has become increasingly diversified as convention and business-related travel have improved. Anaheim continues to benefit from a robust event calendar that supports weekday occupancy and generates compression throughout surrounding lodging districts, while employment centers in Irvine, Santa Ana, and Costa Mesa are showing increased business travel activity after a period of corporate caution. These dynamics have contributed to a healthier balance between occupancy and pricing performance, allowing operators to pursue revenue growth through a combination of improving demand and sustained rate discipline. Although competition for discretionary travel spending remains elevated, the market continues to benefit from its unique combination of tourism infrastructure, resort destinations, and business activity.

Looking ahead, Orange County's lodging market is expected to benefit from several long-term demand catalysts. The region's proximity to major global events in Los Angeles, including the 2026 FIFA World Cup and the 2028 Summer Olympics, is expected to generate incremental visitation and spillover lodging demand. The DisneylandForward initiative represents one of the most significant tourism developments currently underway in the region and is expected to create additional entertainment, dining, and visitor-oriented experiences within the Anaheim resort district. Similarly, the multi-billion-dollar OCVIBE development surrounding the Honda Center is poised to enhance the county's entertainment offerings and create new demand generators over time.

These projects complement a convention sector that continues to attract large-scale meetings and events while further diversifying the region's visitor economy. At the same time, the development pipeline remains modest relative to the market's size, limiting near-term competitive pressure and allowing future demand growth to be absorbed more efficiently. While elevated operating costs and changing travel preferences remain important considerations, Orange County's combination of destination appeal, economic diversity, and ongoing investment activity should continue to support stable lodging fundamentals over the foreseeable future.

Supply growth remains modest. Currently, just 3 hotels with 670 rooms are under construction, expanding inventory by approximately 1.1% by 2028, limiting near-term competitive pressure.

Investment activity cooled but remained active. A total of 15 hotel transactions totaling $234 million closed over the past 12 months, under the three-year average of $308 million. The pullback reflects broader investor caution amid elevated financing costs, measured revenue growth, and lingering uncertainty around the pace of demand recovery.

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Overview

KEY INDICATORS

Class	Rooms	12 Mo Occ	12 Mo ADR	12 Mo RevPAR	12 Mo Delivered	Under Construction
Luxury & Upper Upscale	22,526	75.3%	$325	$245	0	496
Upscale & Upper Midscale	23,962	76.1%	$182	$139	0	172
Midscale & Economy	13,733	70.5%	$104	$73	0	0
Total	**60,221**	**74.5%**	**$219**	**$163**	**0**	**668**

Average Trend	Current	3 Mo	YTD	12 Mo	Historical Average	Forecast Average
Occupancy	75.5%	77.9%	75.3%	74.5%	71.7%	
Occupancy Change	8.1%	3.3%	3.9%	3.5%	8.2%	
ADR	$223	$232	$222	$219	$209	
ADR Change	7.2%	5.8%	6.3%	5.7%	7.1%	
RevPAR	$169	$181	$167	$163	$150	
RevPAR Change	15.9%	9.3%	10.5%	9.4%	15.9%	

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Hotel performance in Orange County strengthened meaningfully entering late 2025 and early 2026, signaling a transition from mid-year softness to a more constructive operating environment. The market posted positive trailing 12-month RevPAR growth of approximately 9.4%through September, but that average masks a clear improvement in momentum in recent months as demand rebuilt, occupancy firmed, and pricing power returned in peak and shoulder periods.

Orange County's lodging performance continues to reflect the advantages of a highly diversified demand base that draws from leisure, group, and corporate travel segments. While leisure demand remains the primary driver of room night production, particularly in Anaheim and the county's coastal resort communities, business-related travel and convention activity play an increasingly important role in shaping weekday occupancy patterns. This diversification distinguishes Orange County from many leisure-oriented destinations and provides additional stability during periods when discretionary travel spending softens. The market benefits from several distinct lodging clusters, including the Disneyland Resort area, the Newport Beach and Dana Point luxury resort corridor, and the Irvine, Santa Ana, and Costa Mesa business districts, each serving different traveler profiles and demand characteristics.

Group demand strengthened meaningfully as convention, meeting, and event activity continued to normalize. The Anaheim Convention Center remains one of the market's most significant demand generators, supporting substantial weekday occupancy and driving compression throughout the Disneyland submarket during major events. Corporate transient demand also improved as travel activity across Orange County's business corridors became more consistent. Market participants have reported greater booking visibility, fewer short-notice cancellations, and somewhat longer booking windows compared with the uncertainty experienced during earlier phases of the recovery. These factors have supported healthier pricing conditions and reduced the need for widespread discounting during shoulder periods.

Performance continues to vary by submarket. Newport Beach and Dana Point remain the county's pricing leaders due to their concentration of luxury and upper-upscale resorts, while Anaheim benefits from some of the highest occupancy levels in the market because of its tourism and convention infrastructure. Santa Ana and Costa Mesa continue to benefit from a balanced mix of business and leisure demand tied to large employment centers, while more price-sensitive locations have generally experienced a slower recovery cycle.

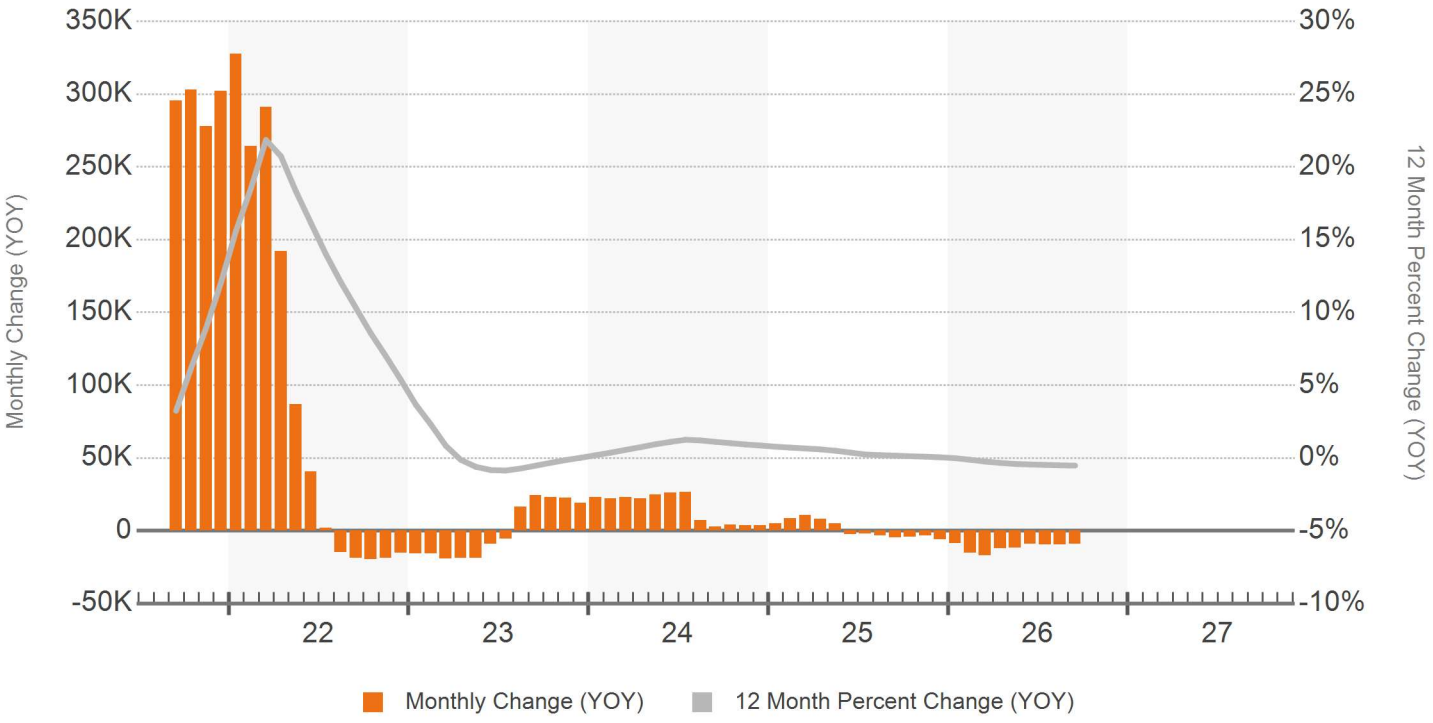
Looking ahead, Orange County's RevPAR is projected to maintain the positive RevPAR momentum, supported in part by its proximity to a series of major global events in Los Angeles, including the recently concluded 2026 FIFA World Cup and the upcoming 2028 Summer Olympics. While matches were centered outside the county, spillover demand from visitors, media, and team operations provided incremental upside.

Longer-term demand prospects are also being reinforced by sustained investment in regional attractions. Disneyland continues to evolve through initiatives such as DisneylandForward, which will introduce a new mixed-use entertainment district combining dining, retail, live performances, and upgraded rides. Nearby, Anaheim's $4 billion OCVIBE redevelopment adjacent to the Honda Center is progressing through phased openings, with full buildout targeted by 2028. Together, these projects underscore a long-term commitment to tourism infrastructure that should help underpin hotel demand over the next decade.

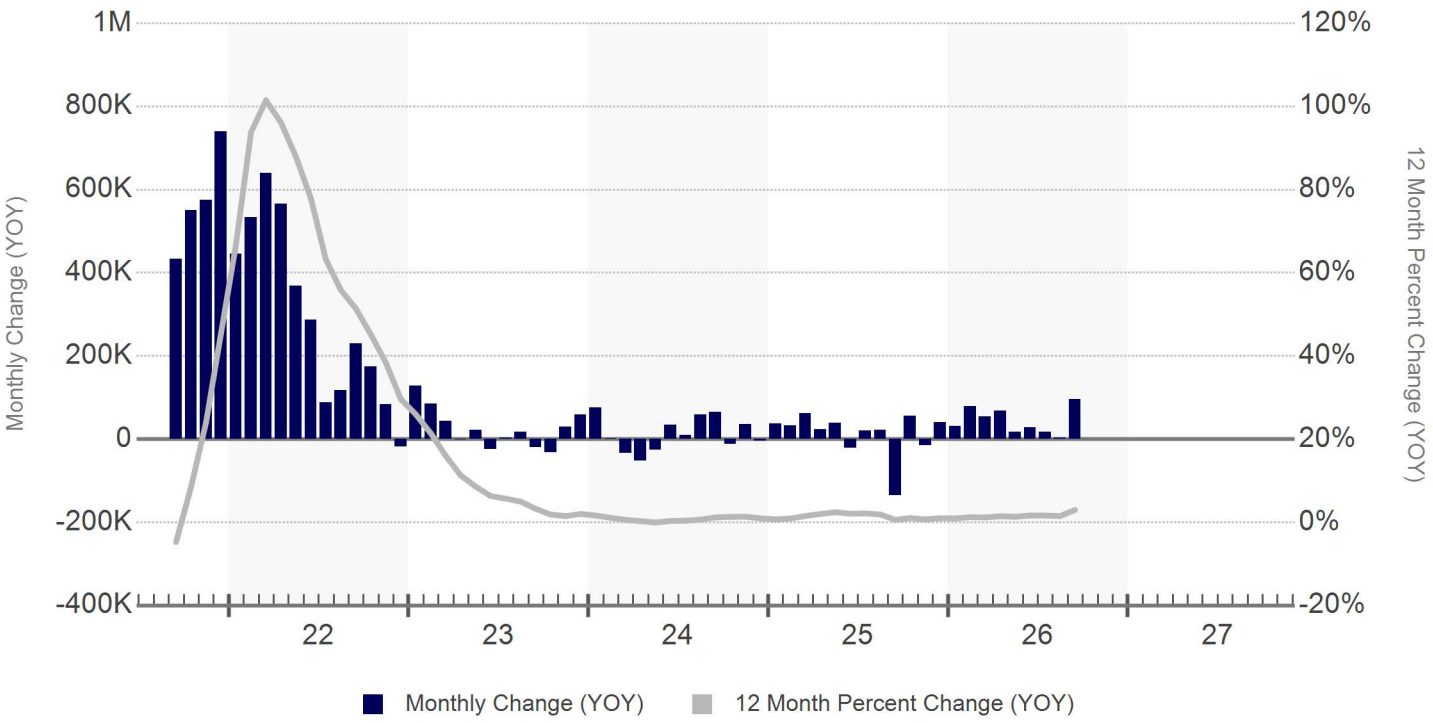
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Performance

SUPPLY CHANGE



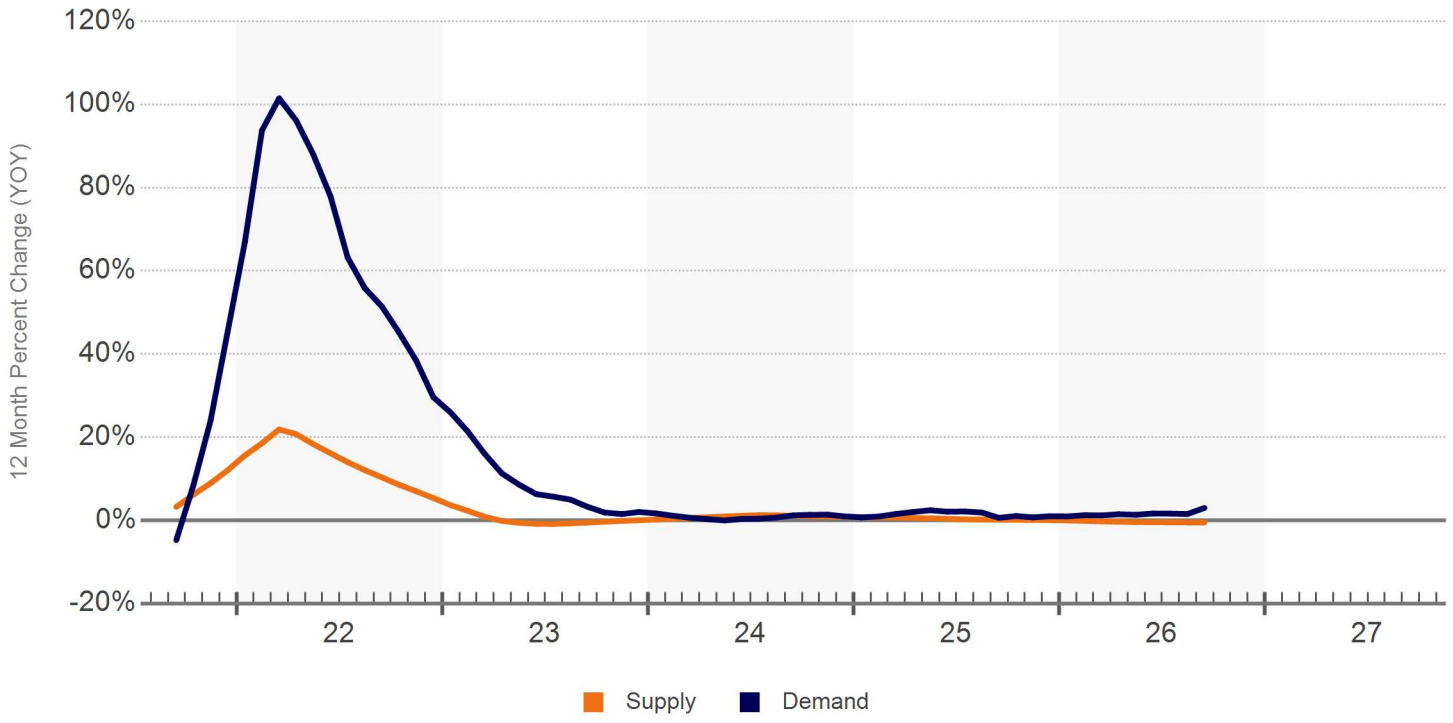
DEMAND CHANGE



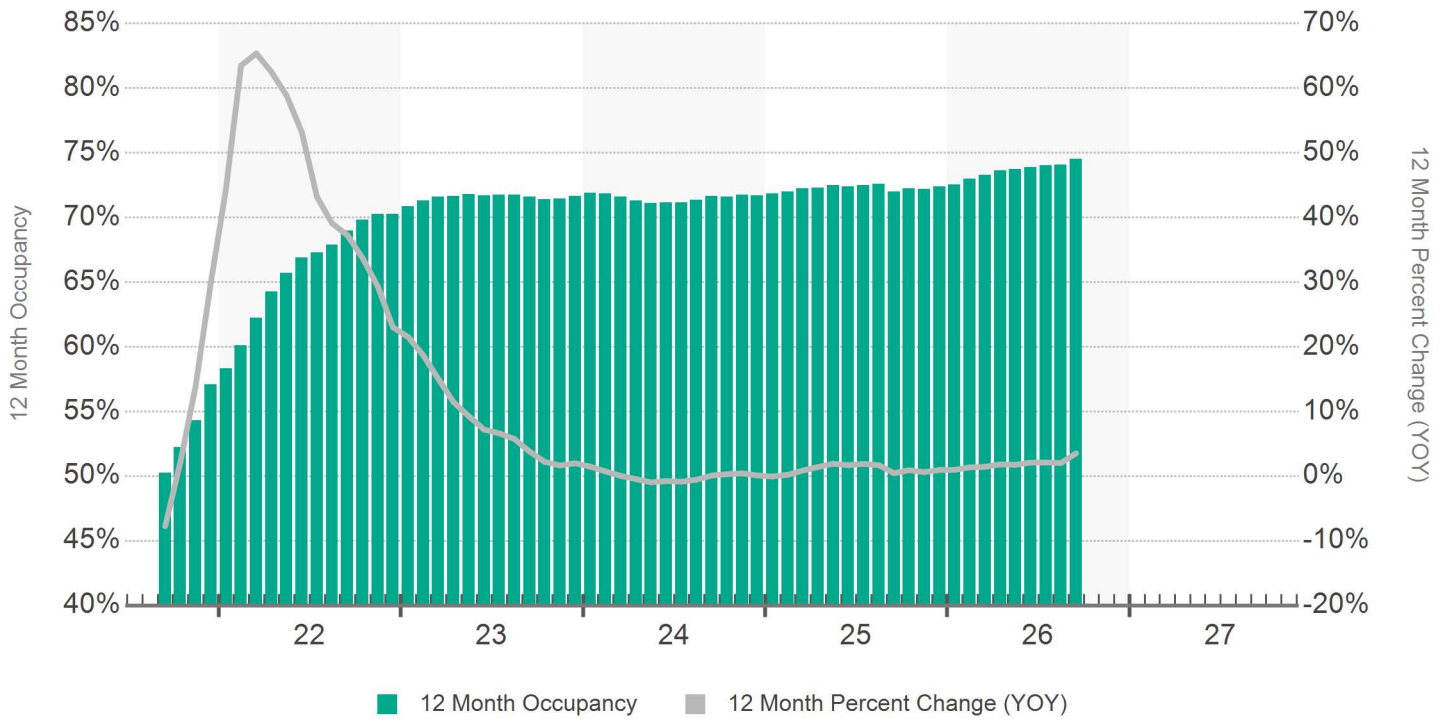
Performance

Orange County Hospitality

SUPPLY & DEMAND CHANGE

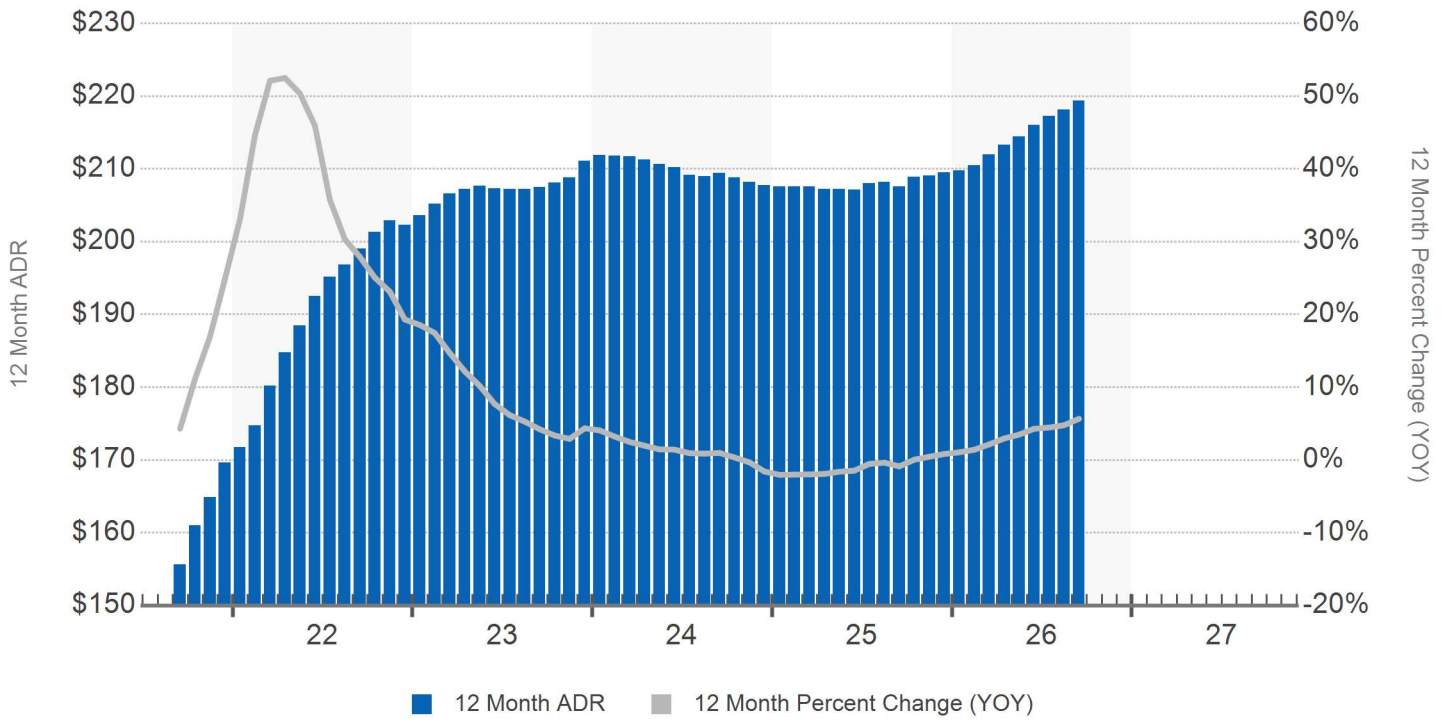


OCCUPANCY

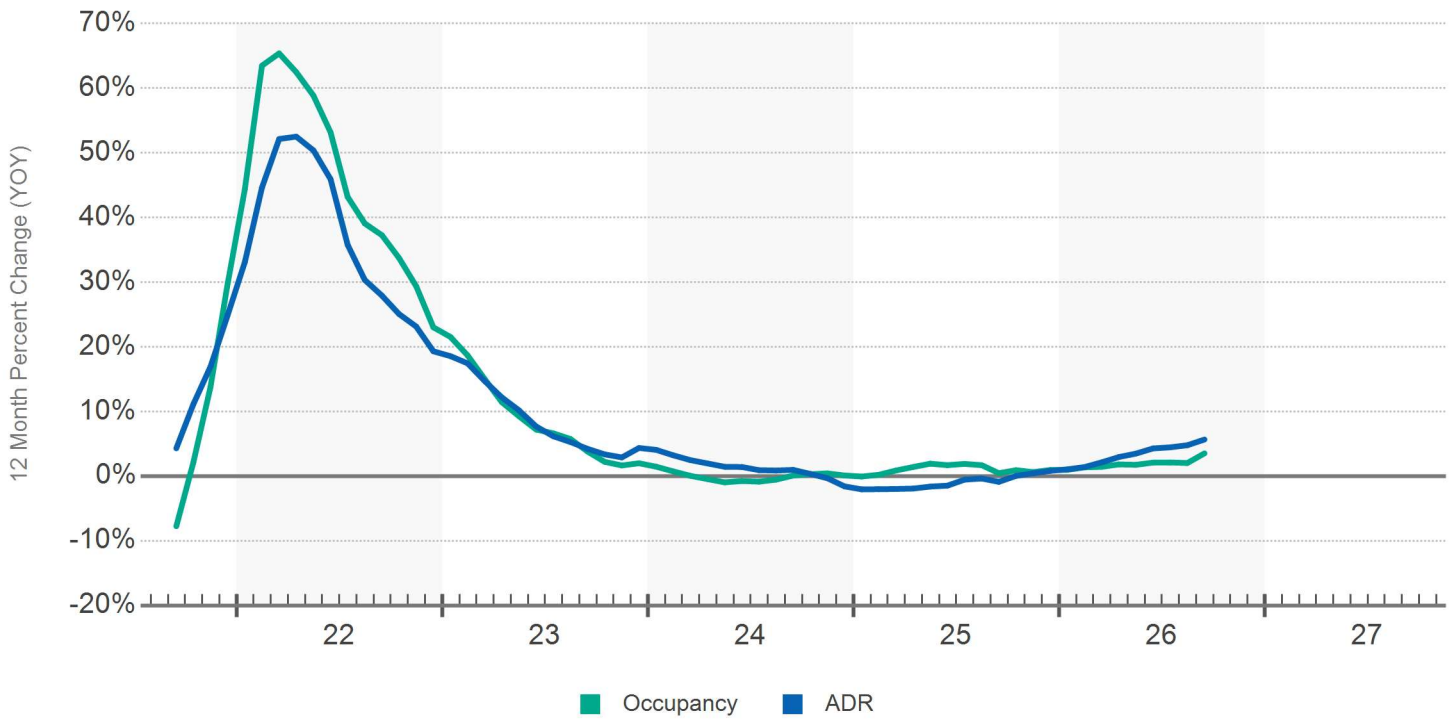


Performance

ADR



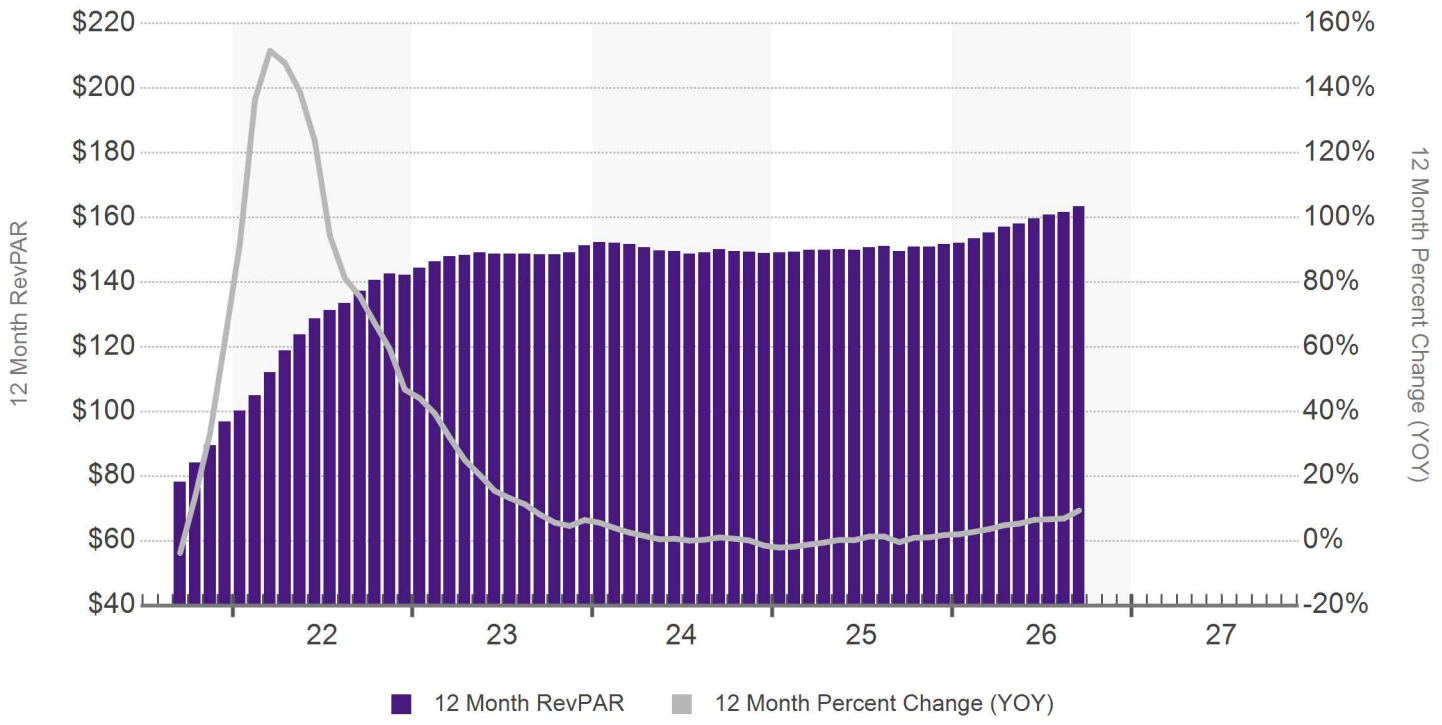
OCCUPANCY & ADR CHANGE



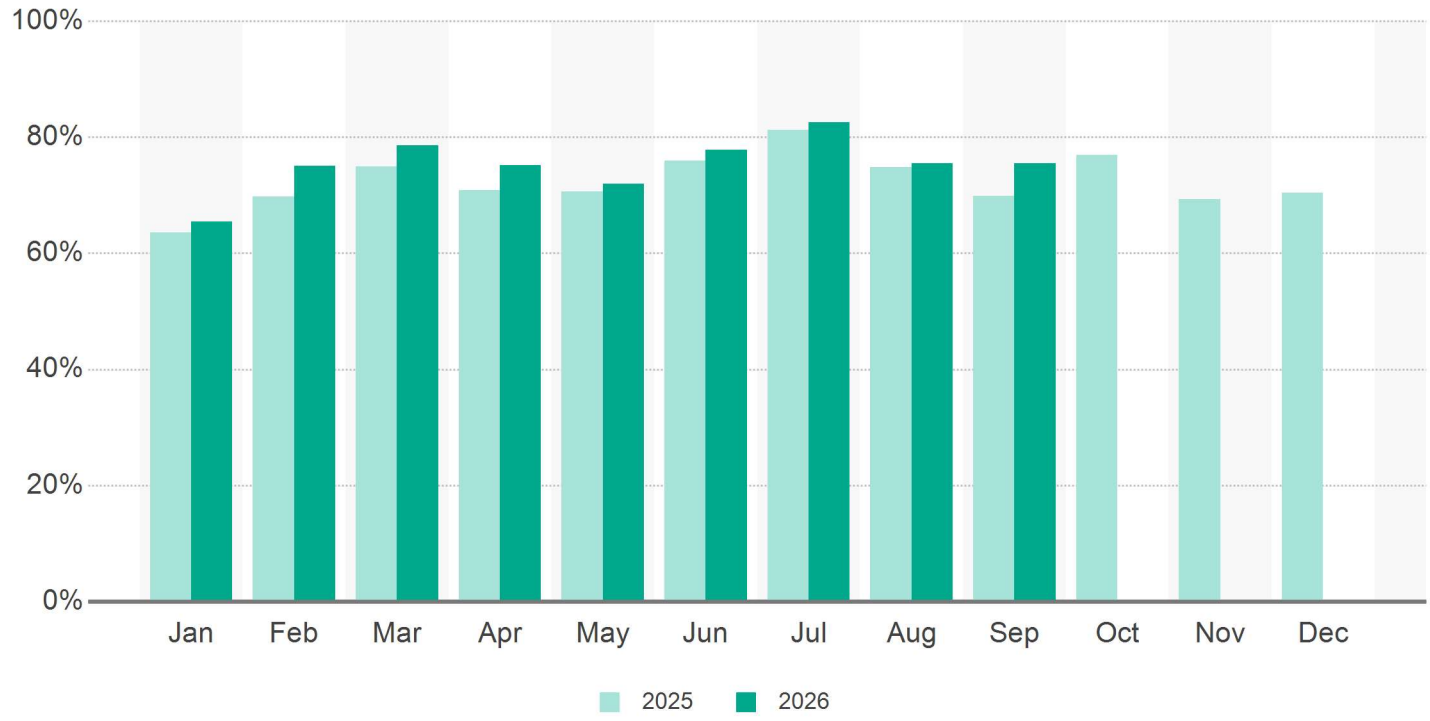
Performance

Orange County Hospitality

REVPAR



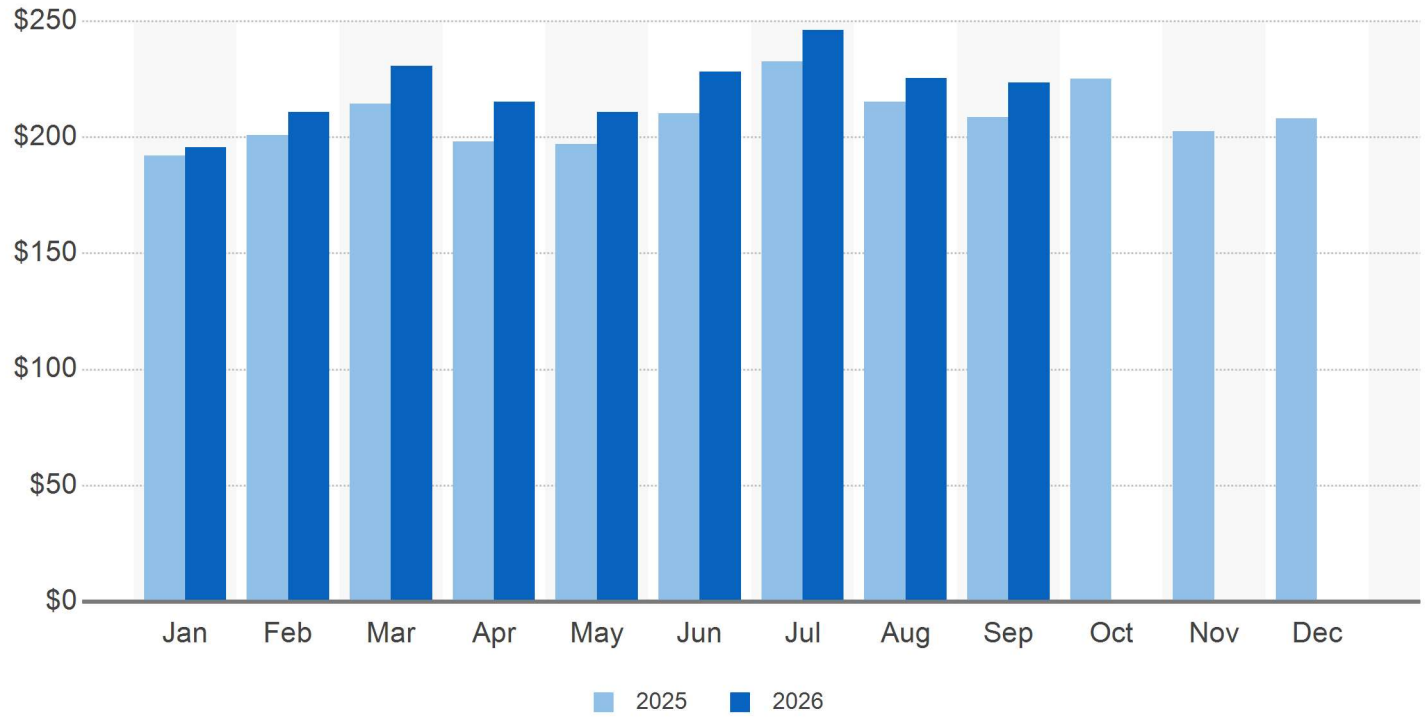
OCCUPANCY MONTHLY



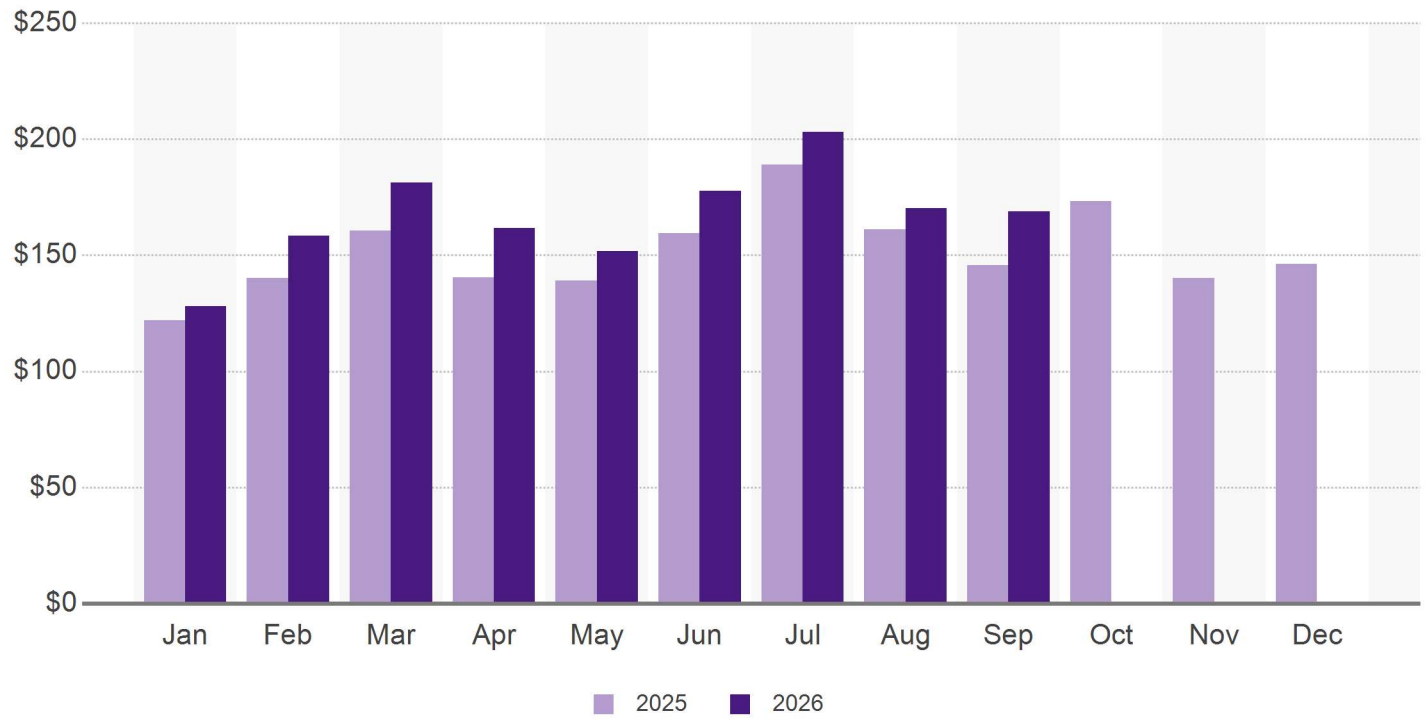
Performance

Orange County Hospitality

ADR MONTHLY

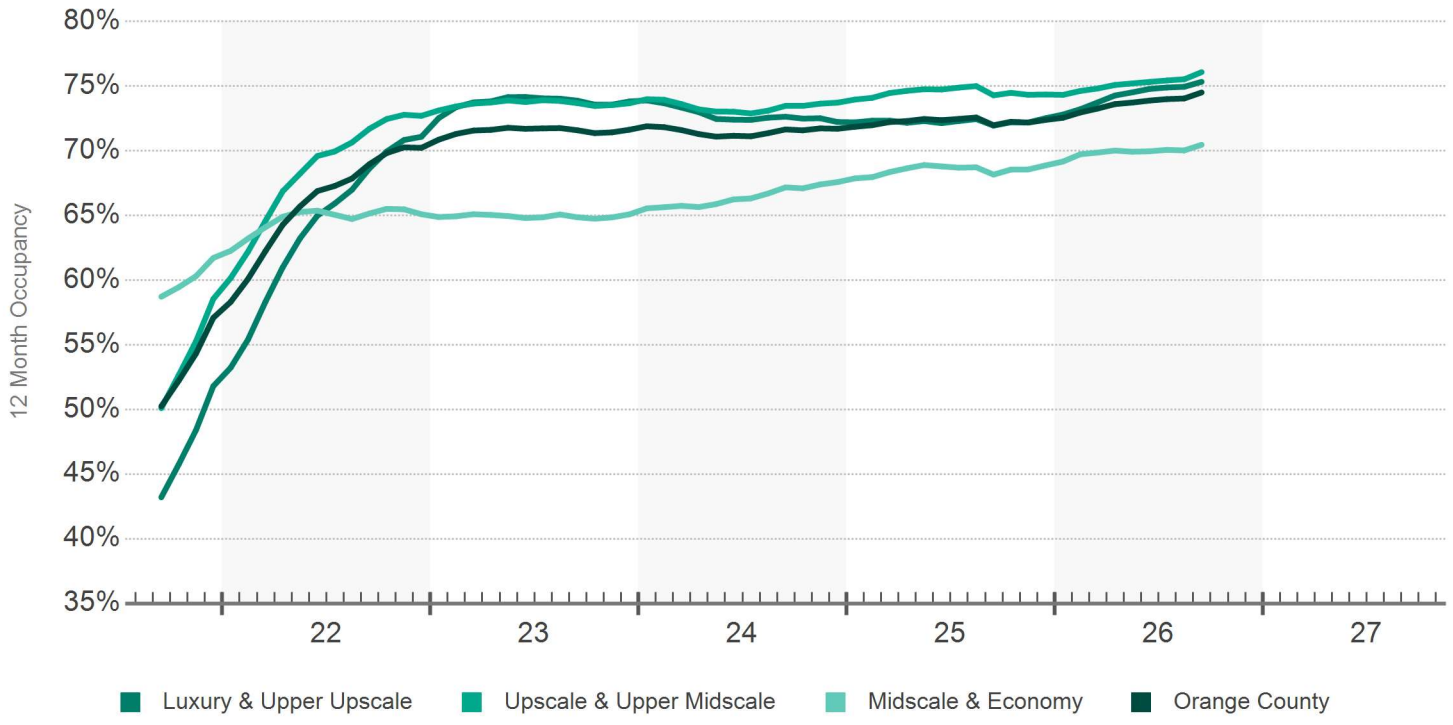


REVPAR MONTHLY

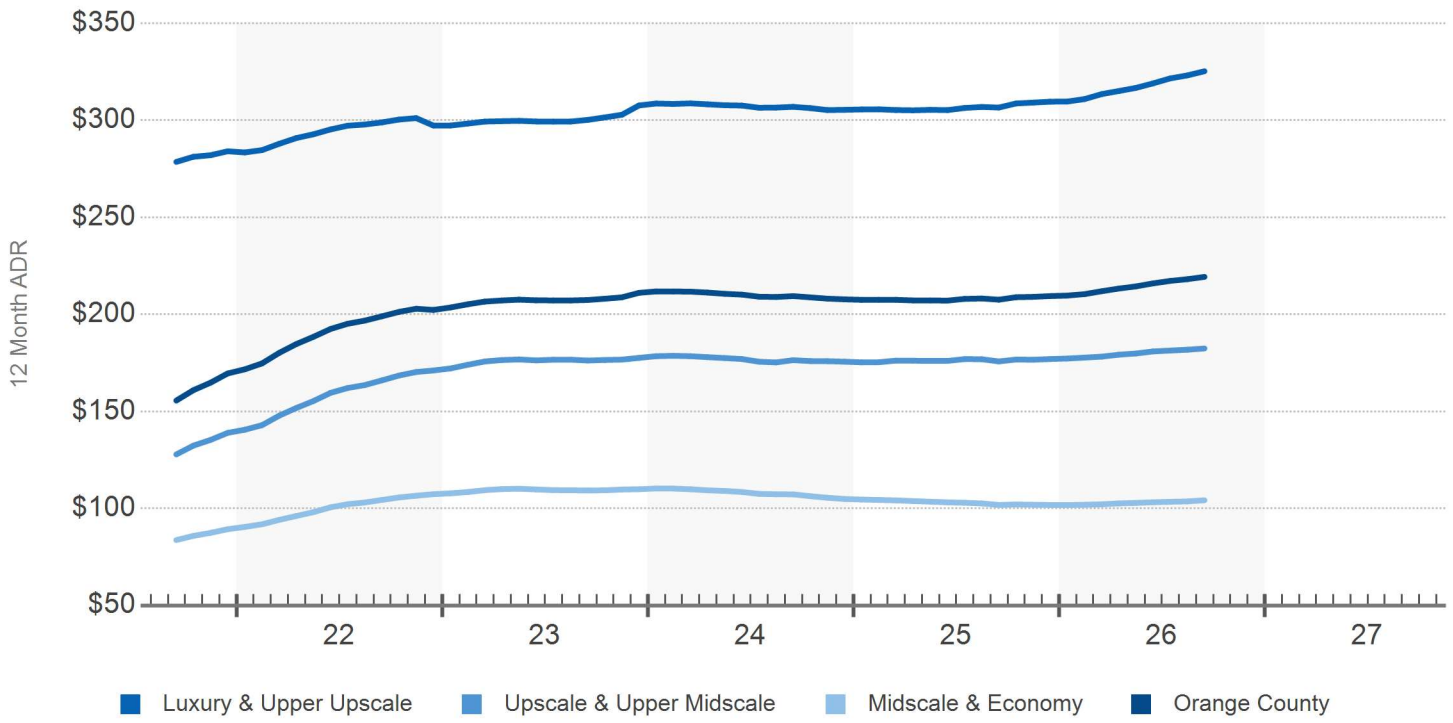


Performance

OCCUPANCY BY CLASS

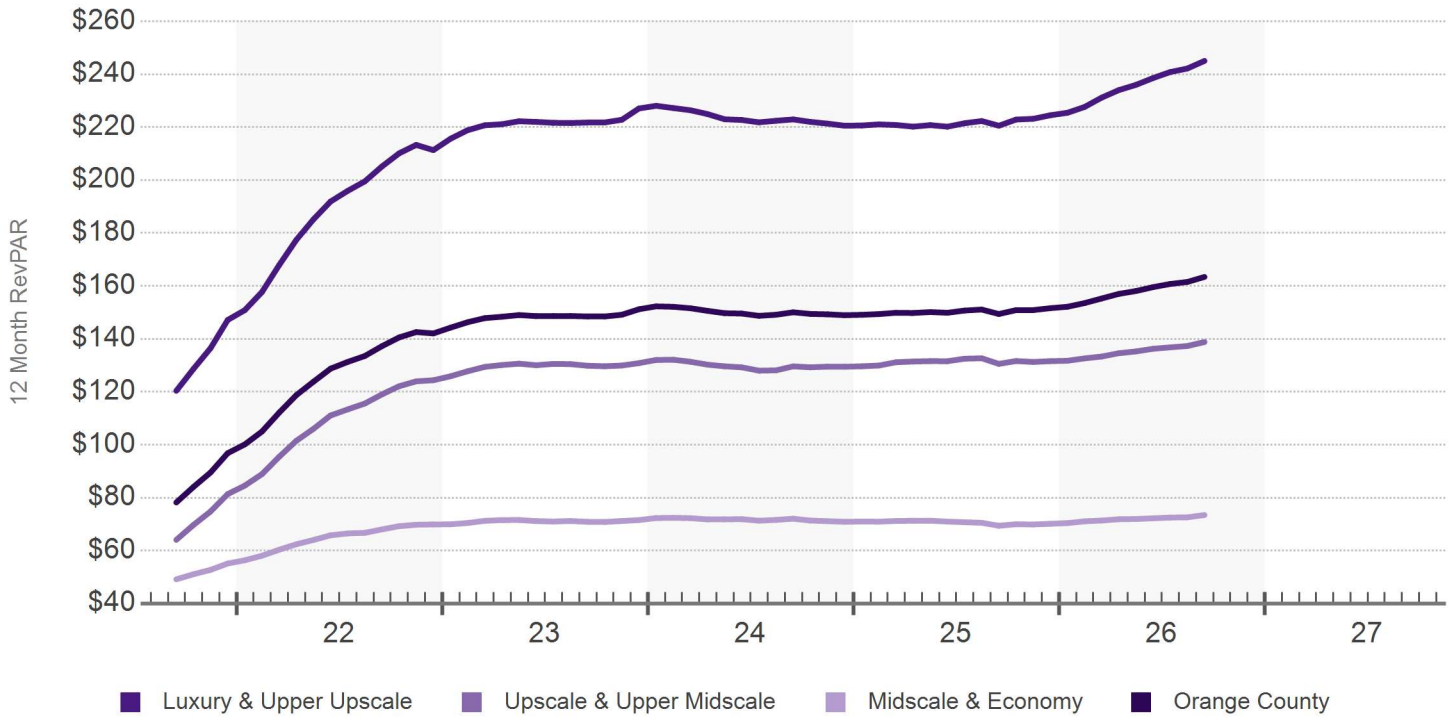


ADR BY CLASS

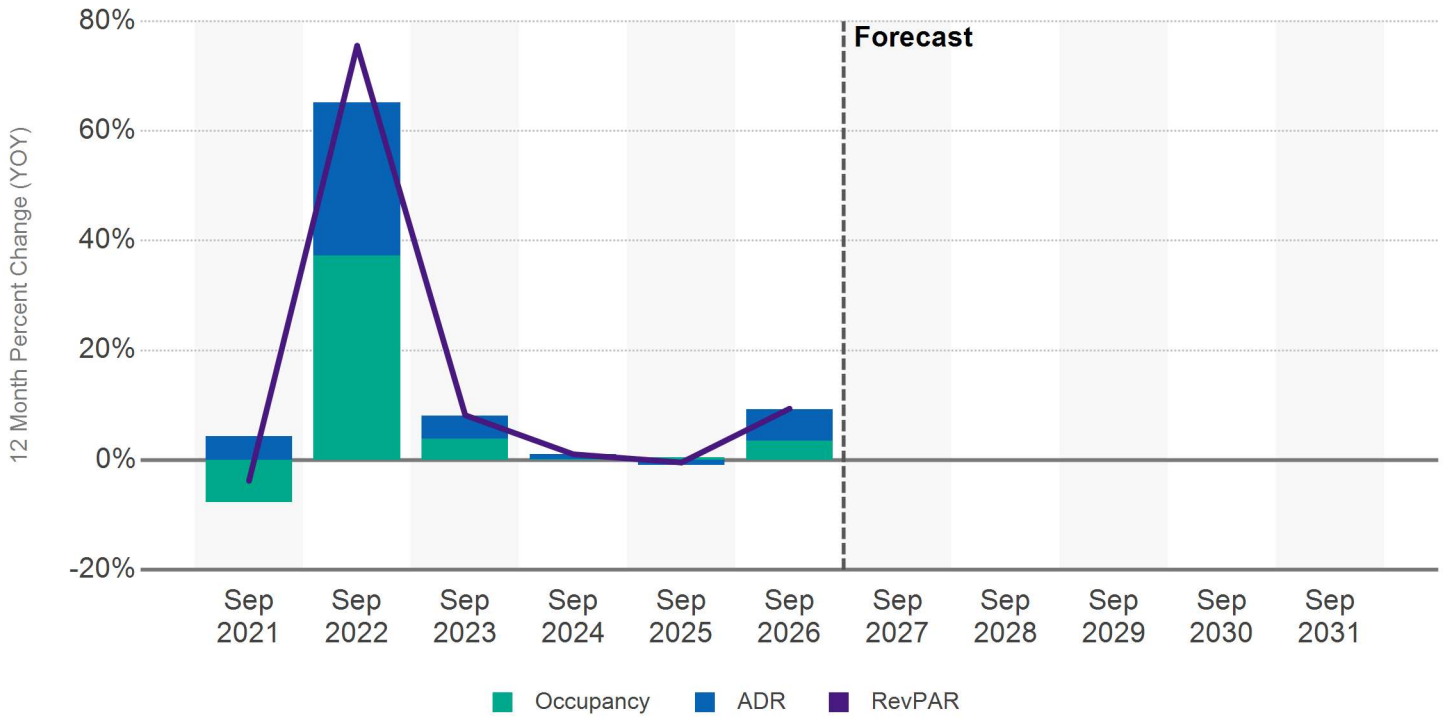


Performance

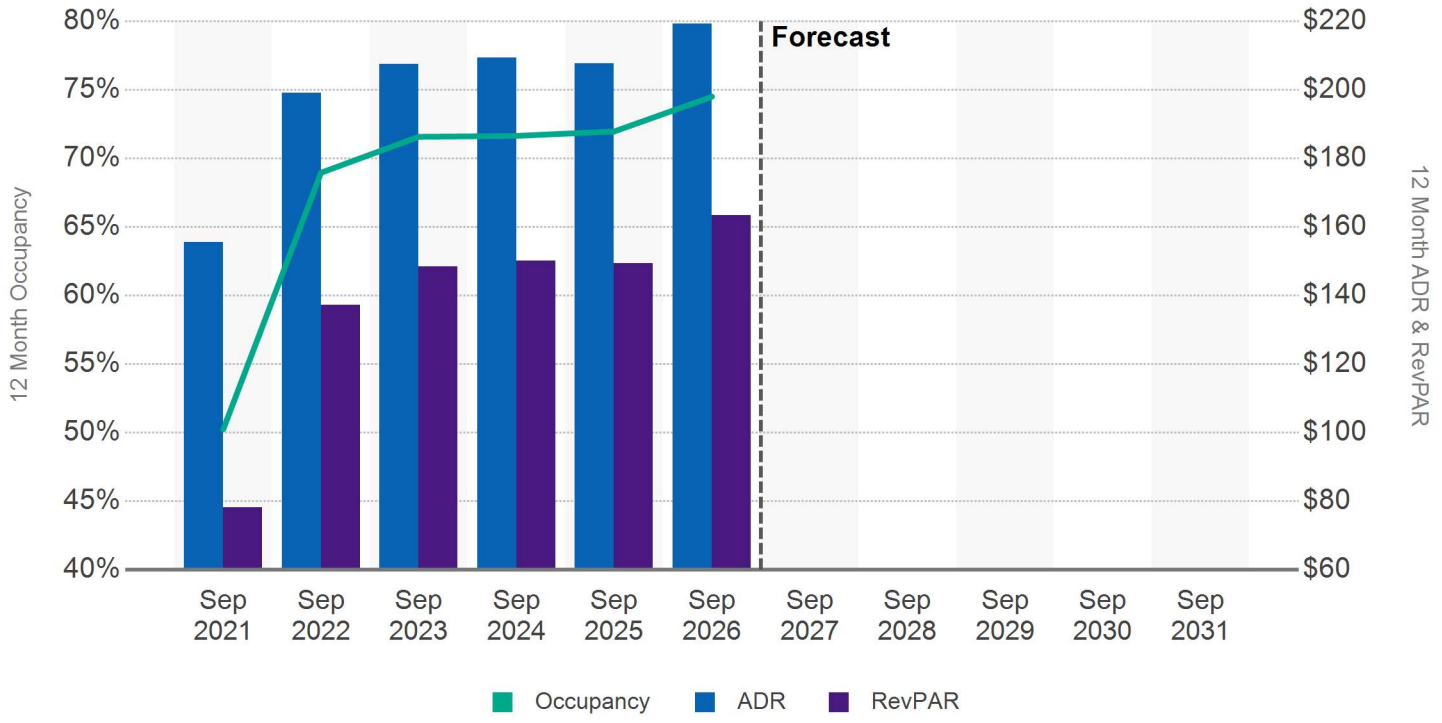
REVPAR BY CLASS



REVPAR GROWTH COMPOSITION



OCCUPANCY, ADR & REVPAR



HOTEL PROFITABILITY (12 MONTH AVERAGE)

	August 12 Mo			YOY % Change	
Market	**% of Revenues**	**PAR**	**POR**	**PAR**	**POR**
Revenue					
Rooms	61.3%	$174	$236.25	10.1%	6.0%
Food	16.1%	$55	$75.37	3.2%	-0.8%
Beverage	5.7%	$19	$26.36	1.9%	-2.1%
Other F&B	7.6%	$26	$36.06	2.7%	-2.4%
Other Departments	4.0%	$11	$15.36	6.2%	2.4%
Miscellaneous Income	3.8%	$11	$15.48	-0.6%	-5.0%
Total Revenue	**100%**	**$284**	**$385.48**	**8.9%**	**4.8%**
Operating Expenses					
Rooms	28.4%	$49	$67.12	8.5%	4.5%
Food & Beverage	72.1%	$70	$96.83	3.1%	-0.8%
Other Departments	75.6%	$10	$13.49	-12.0%	-16.0%
Administrative & General	8.7%	$25	$33.51	11.2%	7.1%
Information & Telecommunication Systems	1.6%	$5	$6.49	6.1%	1.5%
Sales & Marketing	8.3%	$24	$32.01	6.3%	2.3%
Property Operations & Maintenance	4.1%	$12	$15.96	2.0%	-1.8%
Utilities	3.4%	$10	$13.29	19.1%	14.7%
Gross Operating Profit	**32.2%**	**$92**	**$124.32**	**10.7%**	**6.6%**
Management Fees	2.9%	$9	$12.54	4.0%	0.4%
Rent	1.7%	$6	$7.65	11.1%	6.3%
Property Taxes	3.0%	$9	$12.29	-0.4%	-4.5%
Insurance	1.6%	$4	$6.10	0.2%	-3.5%
EBITDA	**23.0%**	**$65**	**$88.80**	**15.3%**	**11.0%**
Total Labor Costs	**38.9%**	**$110**	**$149.88**	**8.5%**	**4.5%**

(1) Percentage of Revenues for departmental expenses (Rooms, Food & Beverage, and Other Departments) are based on their respective departmental revenues. All other expense percentages are based on Total Revenue.

(2) Labor costs are already included in the operating expenses above. Amounts shown in Total Labor Costs are for additional detail only.

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Hotel construction activity across Orange County remains exceptionally restrained relative to the market's size, tourism significance, and long-term investment appeal. Development conditions continue to be shaped by elevated construction costs, higher financing expenses, labor constraints, and increasingly selective lending standards. These factors have significantly reduced the number of projects moving from planning into active construction despite continued investor interest in the market. As a result, Orange County's pipeline remains modest compared with many major lodging markets and reflects one of the more supply-constrained development environments in California. Anaheim continues to attract the majority of development activity due to its proximity to Disneyland Resort, the Anaheim Convention Center, Angel Stadium, the Honda Center, and a growing collection of entertainment and mixed-use projects.

As a result, only 3 projects totaling roughly 670 rooms remain under active development, expected to increase supply by 1.1% through 2028. The 125-room Tribute Portfolio Anaheim Downtown is scheduled to open in March 2027, followed by the 172-room Home2 Suites by Hilton Orange County in mid-2027 and the 371-room Kimpton Garden Grove Anaheim in late 2028. The Kimpton, part of a five-acre mixed-use development by SCG America Group, will incorporate food and beverage and retail components while benefiting from proximity to Disneyland, the Anaheim Convention Center, Angel Stadium, and the Honda Center. The project highlights continued investor confidence in the region's leisure-driven demand base and its concentration of large-scale event generators.

The most recent supply addition was the 91-room La Quinta Inn & Suites in the Northwest/Fullerton submarket, which opened in February 2025. Looking ahead, development activity remains concentrated along the Disneyland corridor, where several projects are progressing through final planning stages. These include a proposed Le Méridien in Garden Grove, along with multiple AC Hotels planned across Anaheim South, Costa Mesa, and Laguna Hills.

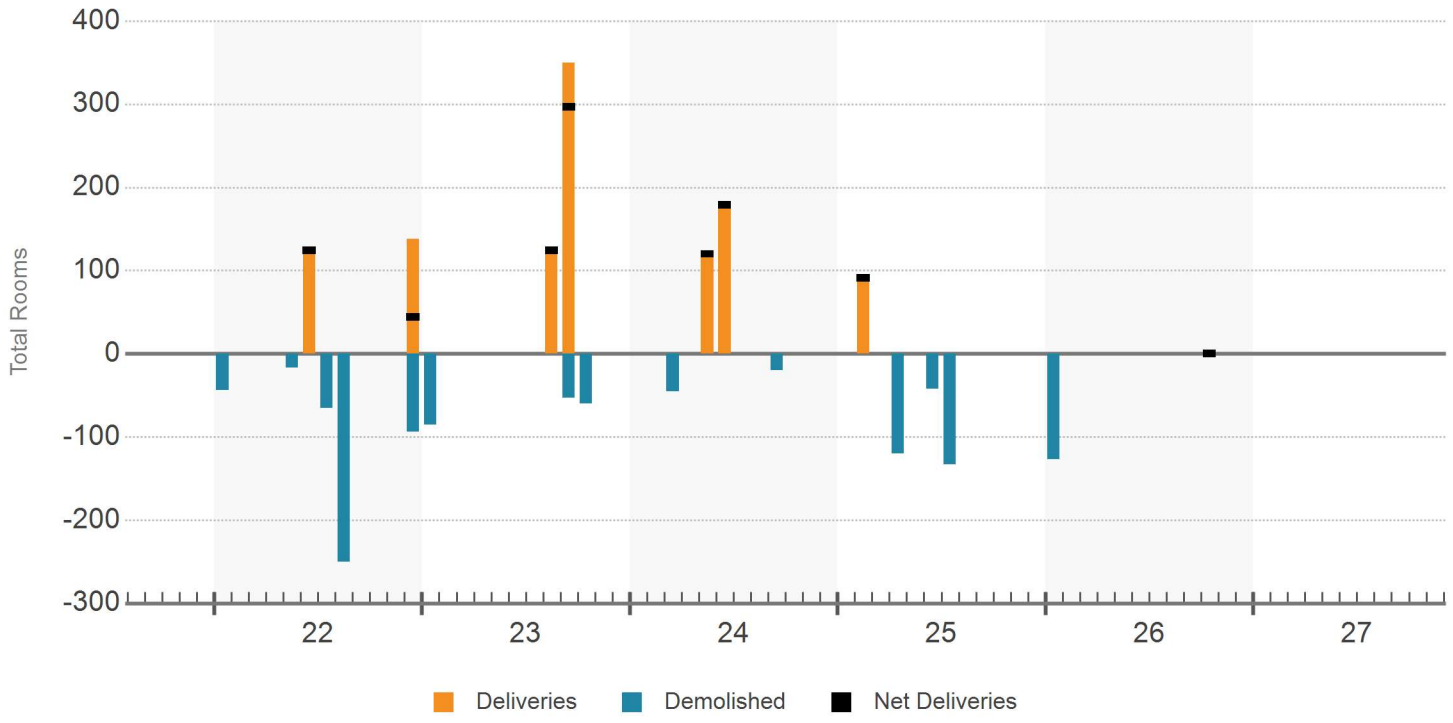
From a market perspective, the limited size of the active pipeline suggests only modest competitive pressure over the near term. New inventory represents a small percentage of existing room supply and is scheduled to enter the market gradually over several years rather than through a concentrated delivery cycle. Looking further ahead, Anaheim's DisneylandForward initiative may encourage additional hospitality development as the resort district evolves and new entertainment, dining, and mixed-use components are introduced. Similarly, broader redevelopment activity occurring around the Honda Center and OCVIBE district could create opportunities for future hotel investment. Nevertheless, the county's high barriers to entry, constrained development sites, extensive entitlement requirements, and elevated capital costs are expected to continue limiting new supply growth. These conditions should remain supportive of occupancy and pricing fundamentals while helping preserve the competitive positioning of existing assets throughout the market.

Momentum could build further following Anaheim's approval of the DisneylandForward zoning initiative, which expands flexibility for mixed-use development across the resort district. This framework is expected to support additional hospitality, retail, and entertainment projects over time, reshaping the area's development landscape. Even with these projects in the pipeline, overall supply growth remains restrained relative to other major California markets, as elevated financing costs and tighter capital conditions continue to limit new development. However, increasing interest along Anaheim's redevelopment corridor suggests construction activity could reaccelerate once capital markets stabilize and economic visibility improves.

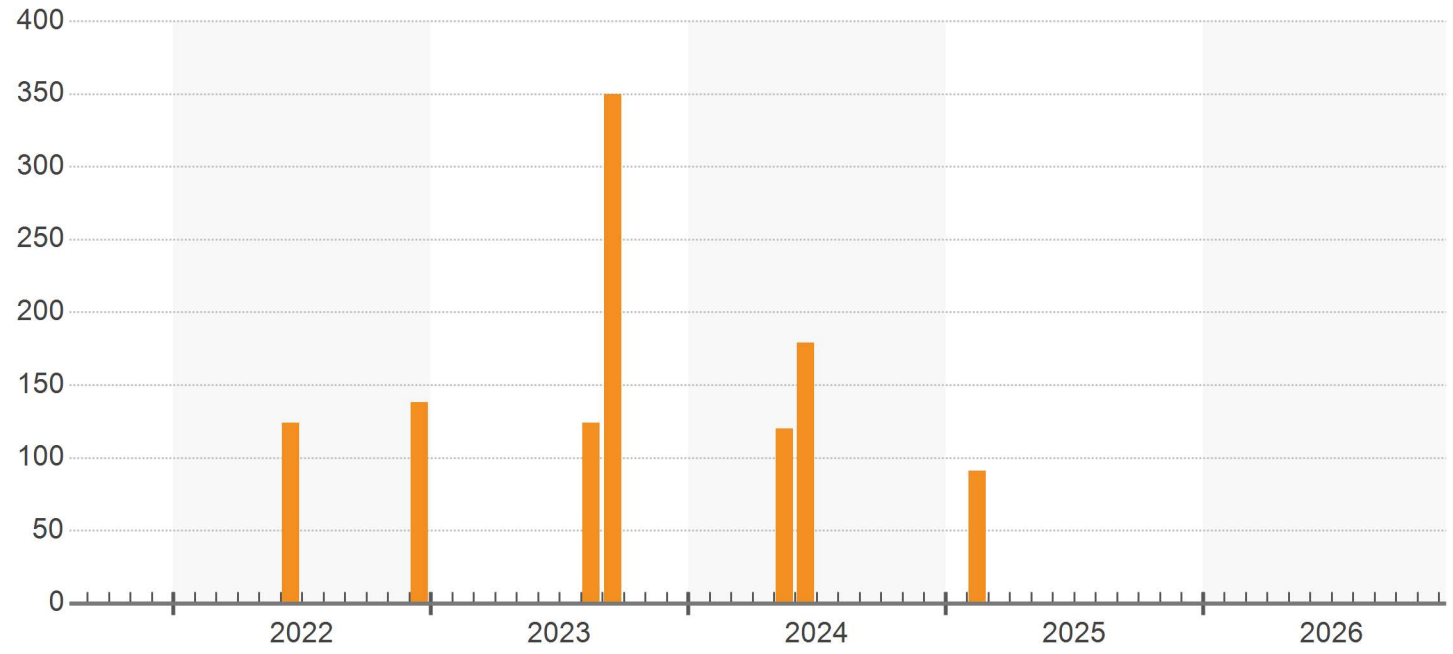
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Construction

DELIVERIES & DEMOLITIONS



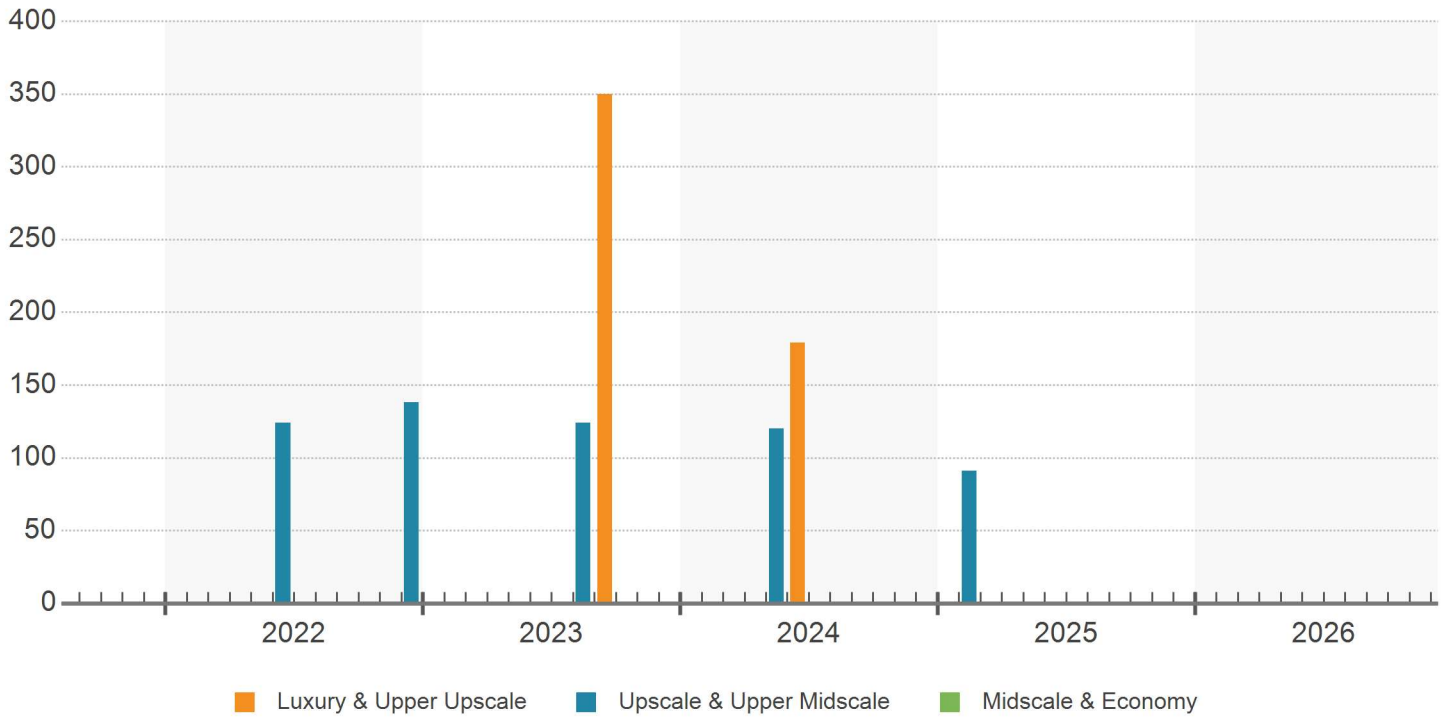
ROOMS DELIVERED



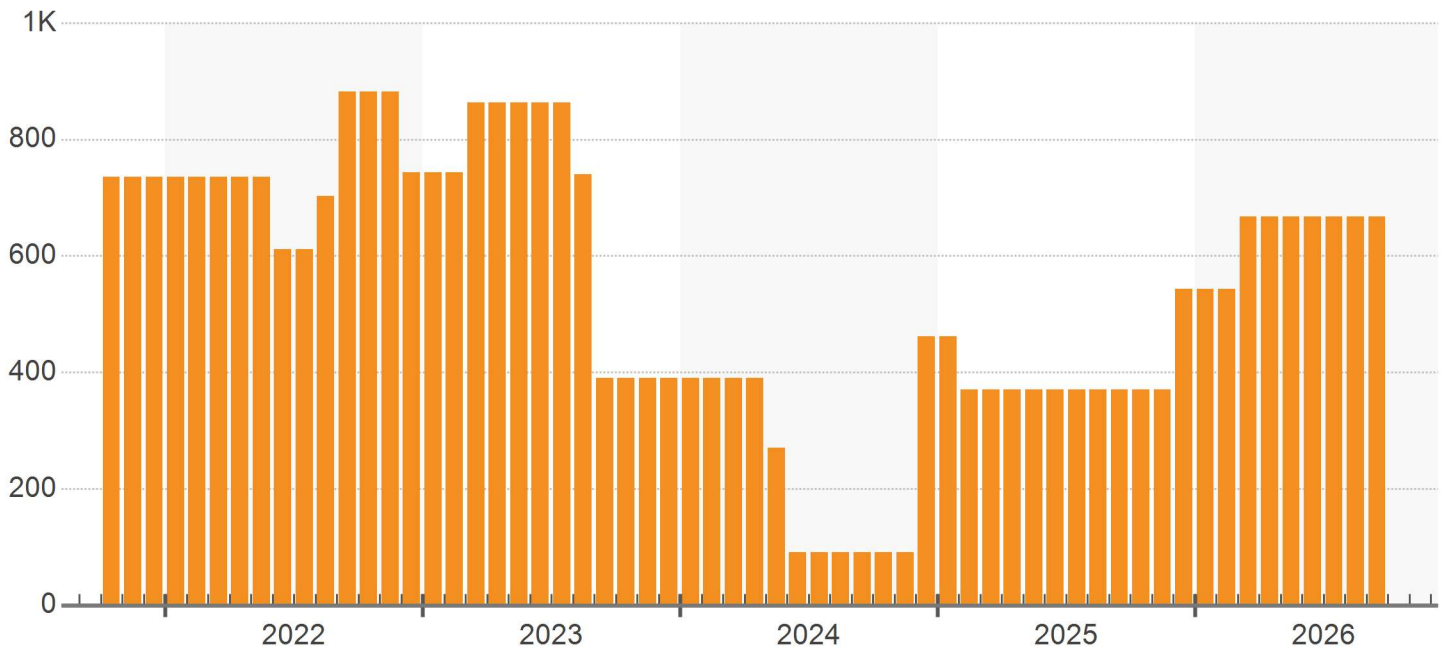
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Construction

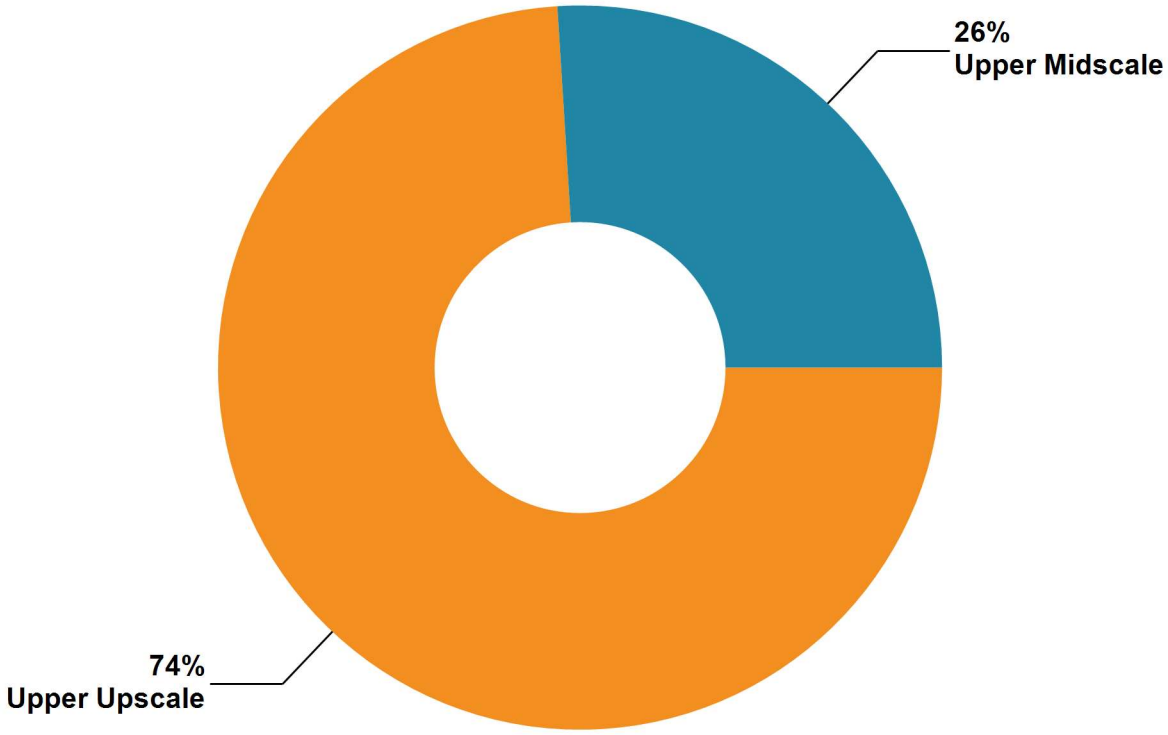
ROOMS DELIVERED BY CLASS



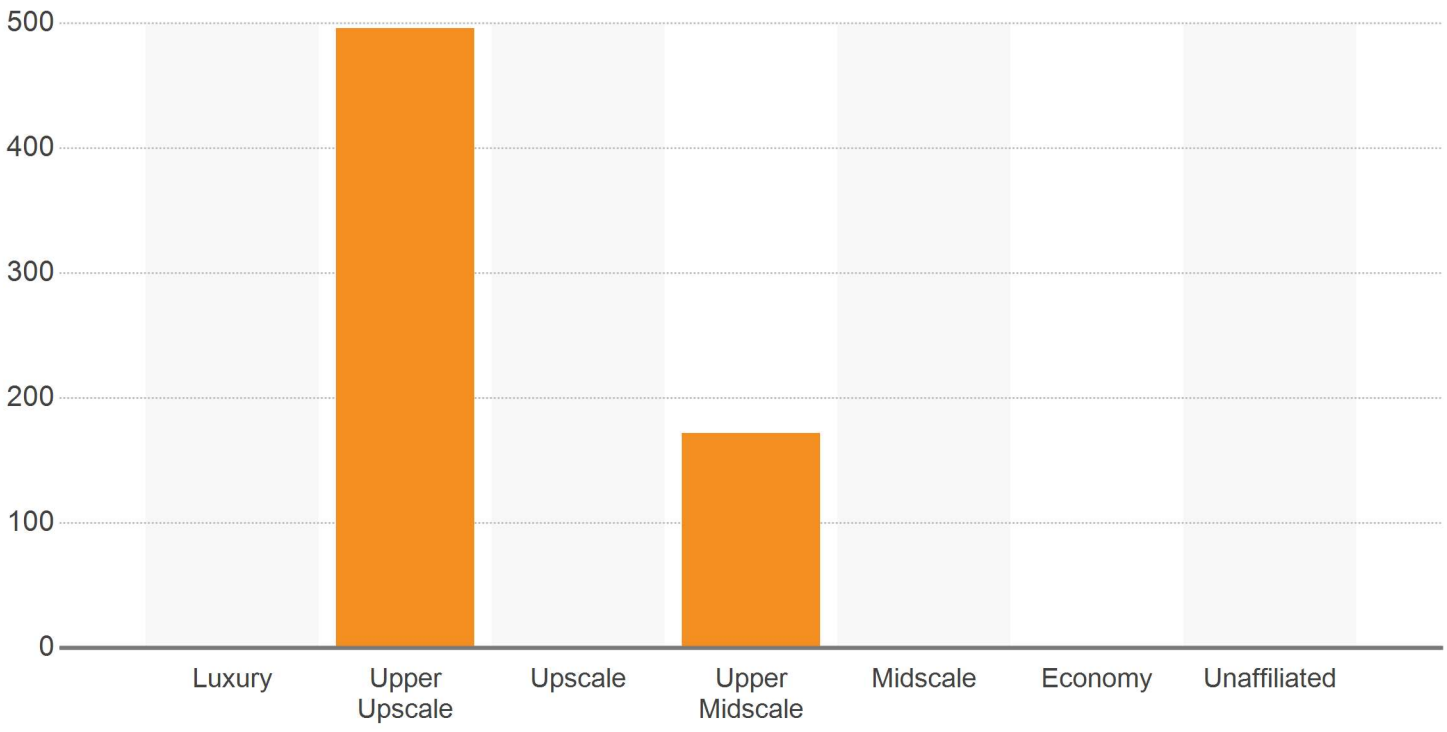
ROOMS UNDER CONSTRUCTION



TOTAL ROOMS UNDER CONSTRUCTION BY SCALE



ROOMS UNDER CONSTRUCTION BY SCALE

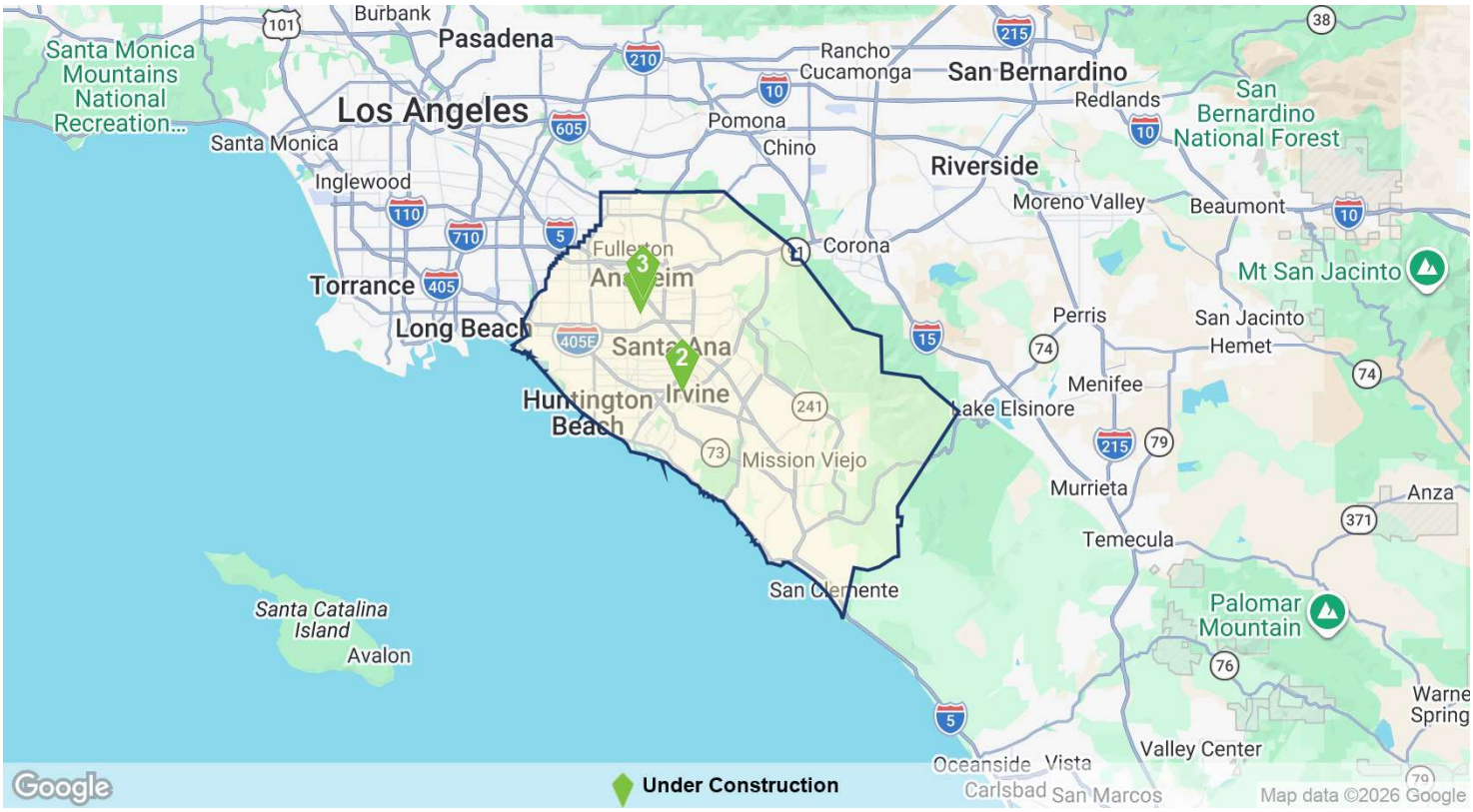


Under Construction Properties

Orange County Hospitality

Properties	Rooms	Percent of Inventory	Average Rooms
3	668	1.1%	223

UNDER CONSTRUCTION PROPERTIES



UNDER CONSTRUCTION

	Property Name/Address	Class	Rooms	Stories	Start	Complete	Brand/Developer
1	Kimpton Garden Grove Anaheim S. Harbor Blvd. & Twintre Blvd	Upper Upscale	371	14	Dec 2024	Sep 2028	Kimpton SCG America
2	Home2 Suites by Hilton Irvine Ora··· 17850 Von Karman Ave	Upper Midscale	172	5	Dec 2025	Jun 2027	Home2 Suites by Hilton S3 Hotel Group
3	Tribute Portfolio Anaheim Downtown 1730 S Clementine St	Upper Upscale	125	6	Mar 2026	Mar 2027	Tribute Portfolio JB Hotel Group

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Orange County remains one of the premier lodging investment markets in California due to its combination of coastal resort assets, convention-oriented hotels, and business-focused lodging properties. The market attracts a broad range of investor profiles, from private owners and regional operators to institutional capital seeking long-term exposure to Southern California hospitality assets. Limited availability of developable land, strong tourism fundamentals, and the presence of several high-barrier-to-entry coastal submarkets have historically supported elevated hotel values relative to many competing markets. As a result, transaction activity tends to reflect both local operating conditions and broader capital market trends.

Investment activity moderated over the past year as elevated borrowing costs and persistent valuation gaps reduced overall transaction volume compared with the stronger acquisition environment experienced in 2024. Over the past year, 15 hotels traded for a combined $234 million, below the three-year average of $308 million.

Private buyers accounted for much of the recent acquisition activity, particularly among select-service, extended-stay, and independent hotels where transaction sizes were more approachable and financing requirements less restrictive. Coastal properties continued to attract significant attention due to their scarcity and long-term replacement-cost advantages, while convention-oriented and tourism-driven assets in Anaheim benefited from investor interest tied to continued visitation growth and long-term development initiatives. The transaction landscape increasingly reflected a bifurcated market, with premium assets sustaining stronger pricing while more operationally intensive or secondary properties traded at more moderate valuations.

Several recent transactions highlight these dynamics. Larger trades remained concentrated in Anaheim and Irvine, while multiple smaller acquisitions occurred across extended-stay and select-service properties throughout the county. The most significant transaction closed in May 2026, when the 352-room Anaheim Resort Suites, which is under a ground lease, sold for $78.75 million, or $223,722 per key. In early 2026, the hotel dropped its national chain loyalty program with Choice Hotels under the Cambria Hotel & Suites brand and rebranded as Anaheim Suites Hotel. The hotel is known for its large recreation water park, pool area, and suite-style rooms.

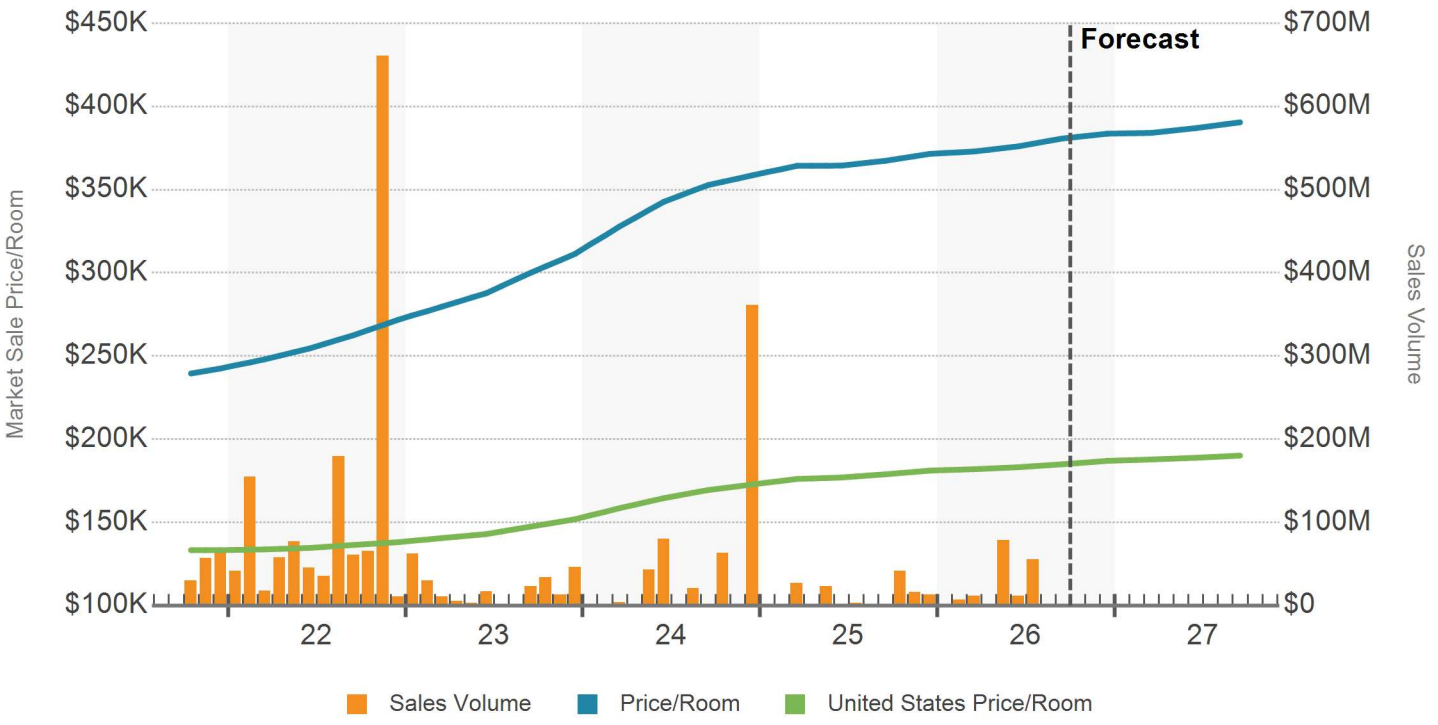
In late 2025, several Sonesta-branded extended-stay and select-service properties traded as part of portfolio transactions involving Service Properties Trust, generally at pricing below $130,000 per key. These deals reflect growing interest from buyers focused on yield and operational stability rather than near-term appreciation.

Resort-oriented submarkets such as Newport Beach, Dana Point, and Laguna Beach continued to capture a disproportionate share of total dollar volume, supported by limited supply and strong leisure fundamentals. In contrast, Anaheim remained relatively quiet outside of the marquee portfolio sale, reflecting its concentration of larger, higher-priced assets and wider bid-ask spreads.

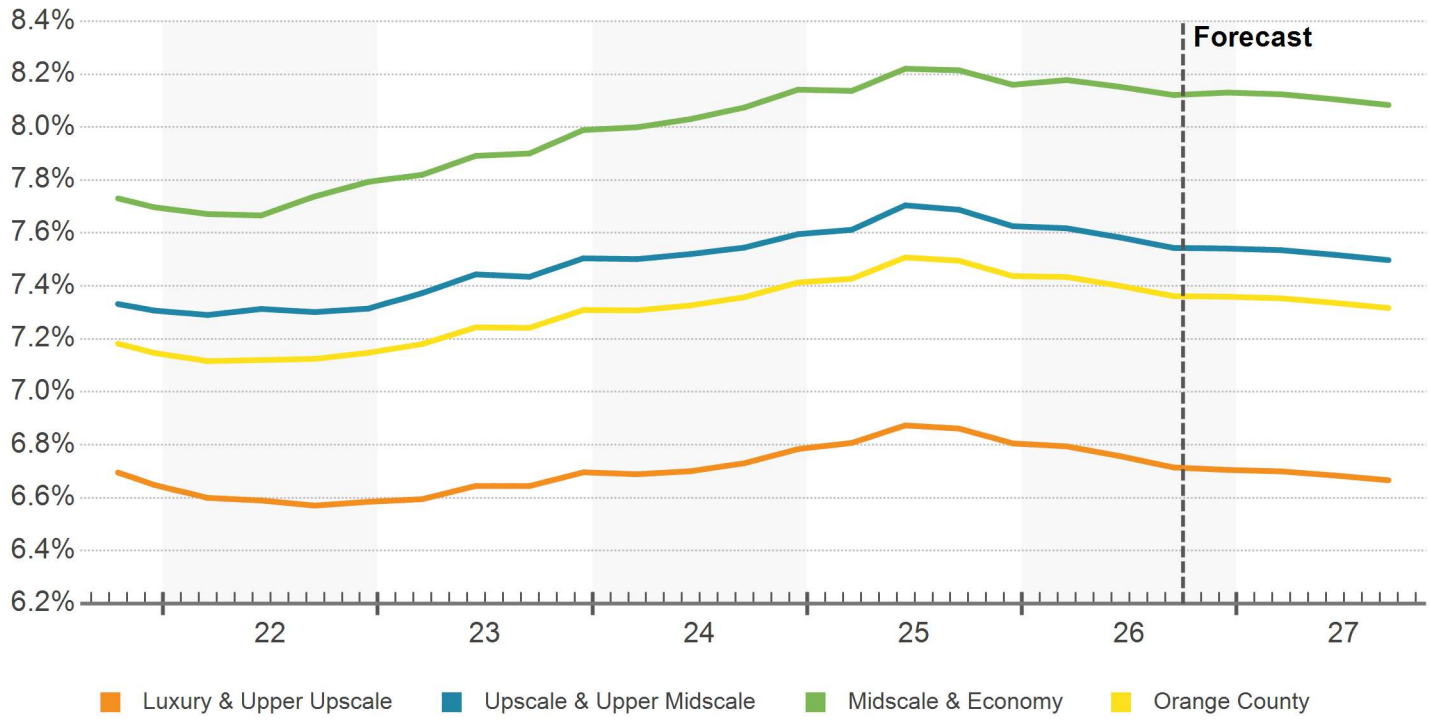
Looking ahead, transaction momentum is expected to remain measured through 2026 with sales driven by refinancing risks amidst elevated borrowing costs, and ongoing brand-mandated capital programs. While many investors remain cautious, Orange County's durable leisure appeal, coastal scarcity, and proximity to global attractions continue to attract patient capital focused on long-term value creation rather than short-term trading.

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SALES VOLUME & MARKET SALE PRICE PER ROOM



MARKET CAP RATE

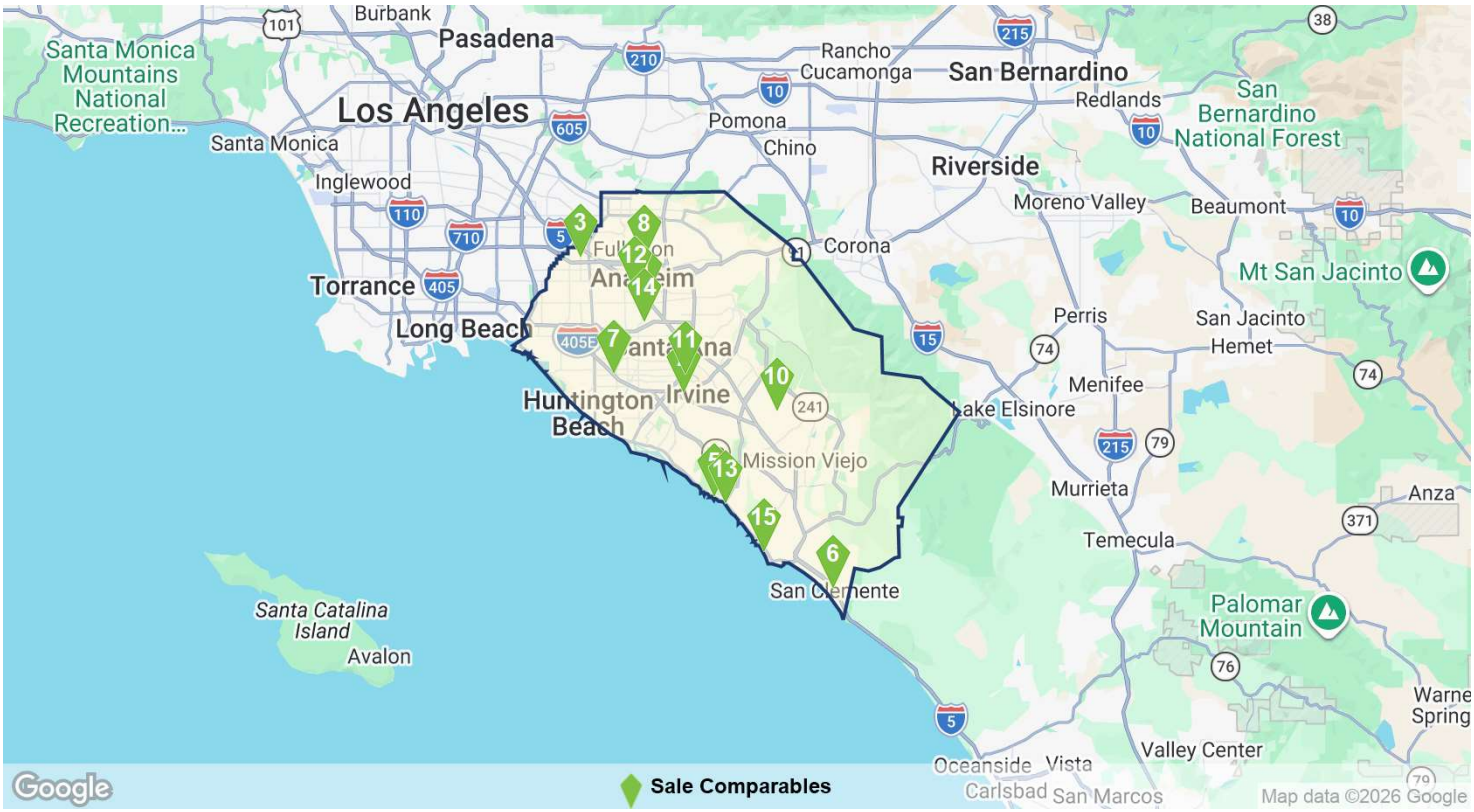


Sales Past 12 Months

Orange County Hospitality

Sale Comparables	Average Price/Room	Average Price	Average Cap Rate
15	$146K	$15.5M	5.0%

SALE COMPARABLE LOCATIONS



SALE COMPARABLES SUMMARY STATISTICS

Sale Attributes	Low	Average	Median	High
Sale Price	$4,515,000	$15,476,857	$6,700,000	$78,750,000
Price/Room	$33,947	$145,616	$126,089	$518,182
Cap Rate	5.0%	5.0%	5.0%	5.0%
Time Since Sale in Months	0.2	7.3	7.6	12.0
Property Attributes	**Low**	**Average**	**Median**	**High**
Property Size in Rooms	14	124	122	373
Number of Floors	1	3	3	12
Total Meeting Space	340	3,500	3,500	19,270
Year Built	1960	1986	1989	2019
Class	Economy	Upper Midscale	Midscale	Luxury

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Sales Past 12 Months

RECENT SIGNIFICANT SALES

		Property Information				Sale Information		
	Property Name/Address	Class	Yr Built	Rooms	Brand	Sale Date	Price	Price/Room
1	SpringHill Suites by Marriott Anah… 101 E Katella Ave	Upscale	2019	352	SpringHill Suites	5/27/2026	$78,750,000	$223,722
2	Hyatt House Irvine John Wayne Ai… 2320 Main St	Upscale	2017	149	Hyatt House	7/1/2026	$38,000,000	$255,034
3	Howard Johnson 7039 Orangethorpe Ave	Economy	1968	100	Howard Johnson	12/31/2025	$13,000,000	$130,000
4	Sonesta Select Huntington Beach… 9950 Slater Ave	Upscale	1991	150	Sonesta Select	10/29/2025	$13,000,000	$86,667
5	Hotel Joaquin 985 N Coast Hwy	Luxury	1970	22	-	3/12/2026	$11,400,000	$518,182
6	The Volare, an Ascend Collection… 111 Avenida de la Estrella	Upscale	1989	72	Ascend Collection	6/4/2026	$11,200,000	$155,556
7	Sonesta ES Suites Huntington Be… 9930 Slater Ave	Upper Midscale	1991	122	Sonesta ES Suites	10/29/2025	$11,000,000	$90,164
8	Akua Motor Inn 1018 E Orangethorpe Ave	Economy	1961	63	-	2/27/2026	$6,700,000	$106,349
9	Budget Inn 1042 W Ball Rd	Economy	1960	24	-	7/1/2026	$6,678,159	$278,257
10	Sonesta Simply Suites East Irvine… 3 S Pointe Dr	Midscale	1997	122	Sonesta Simply Suites	11/13/2025	$5,936,000	$48,656
11	Sonesta Simply Suites Orange Co… 2600 Red Hill Ave	Midscale	2001	122	Sonesta Simply Suites	11/13/2025	$5,775,000	$47,336
12	Grand Park Inn Anaheim Maingate 1030 W Ball Rd	Midscale	1983	43	-	7/1/2026	$5,421,841	$126,089
13	14 West Laguna Beach Hotel 690 S Coast Hwy	Midscale	1973	14	-	7/1/2026	$5,300,000	$378,571
14	Sonesta Simply Suites Garden Gr… 12901 Garden Grove Blvd	Midscale	1998	133	Sonesta Simply Suites	11/13/2025	$4,515,000	$33,947
15	The Ritz-Carlton, Laguna Niguel 1 Ritz-Carlton Dr	Luxury	1984	373	Ritz-Carlton	10/23/2026	-	-

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Orange County's economy remains diverse, with professional and business services and financial activities leading white-collar employment, heavily concentrated around Irvine. Major financial anchors such as PIMCO and Pacific Life remain headquartered in Newport Beach, while Hyundai Capital America is based in Irvine. Happy Money, once noted in Tustin, now lists corporate offices in Torrance/Costa Mesa.

Tourism remains a cornerstone of the local economy, with Disneyland Resort drawing close to 19 million visitors annually and underpinning a large share of hotel demand in Anaheim. Lodging tied to the resort area typically accounts for roughly half of the city's total hotel revenue, reinforcing Anaheim's role as Orange County's primary tourism hub. While park attendance and ticket pricing have trended higher, profitability across Disney's local operations has been pressured by rising operating costs and softer hotel occupancy. Labor remains the most significant factor. California's statewide minimum wage increased to $16.50 on January 1, 2025, with higher thresholds in certain jurisdictions. In Anaheim, resort-area living-wage requirements pushed covered Disney wages to $19.90 in 2024 and $20.42 in 2025, following court rulings that upheld the ordinance's applicability.

The Walt Disney Company continues to be Orange County's largest private employer, with its local workforce exceeding 35,000 employees as of 2023. Longer term, the approved DisneylandForward initiative provides a major growth catalyst. The comprehensive rezoning and redevelopment plan received final City Council approval in May 2024 and is expected to unlock at least $1.9 billion in investment over its first decade. City-commissioned studies project meaningful job creation and incremental tax revenue as new attractions, hotels, dining venues, and retail concepts are integrated within the existing resort footprint.

Group demand is anchored by the Anaheim Convention Center (ACC), the largest exhibition facility on the West Coast, offering more than 1 million square feet of exhibit space. According to Visit Anaheim, approximately 160 conventions, meetings, and events were scheduled for 2025, generating an estimated $1.4 billion in economic impact and roughly $15 million in transient occupancy tax (TOT) revenue for the city. Looking ahead, the organization has already secured 142 events for 2026, projected to produce about $1.74 billion in economic impact and nearly 600,000 hotel room nights. These figures underscore the continued importance of conventions in supporting weekday occupancy and stabilizing seasonal demand patterns across the Anaheim lodging market.

Air access remains a key supporting factor, though volumes have fluctuated in recent years. John Wayne Airport (SNA) handled a record 11.74 million passengers in 2023 before traffic declined to 11.09 million in 2024, reflecting airline capacity adjustments and softer leisure demand. Preliminary full-year indicators for 2025 suggest a modest rebound, with passenger volumes trending slightly above 2024 levels as service stabilizes and demand normalizes. The airport continues to offer strong domestic connectivity through 13 commercial carriers, reinforcing Orange County's accessibility for both leisure and business travelers.

Orange County also benefits as a drive-to tourism market, surrounded by a drive market of 20 million people within a 90-mile radius.

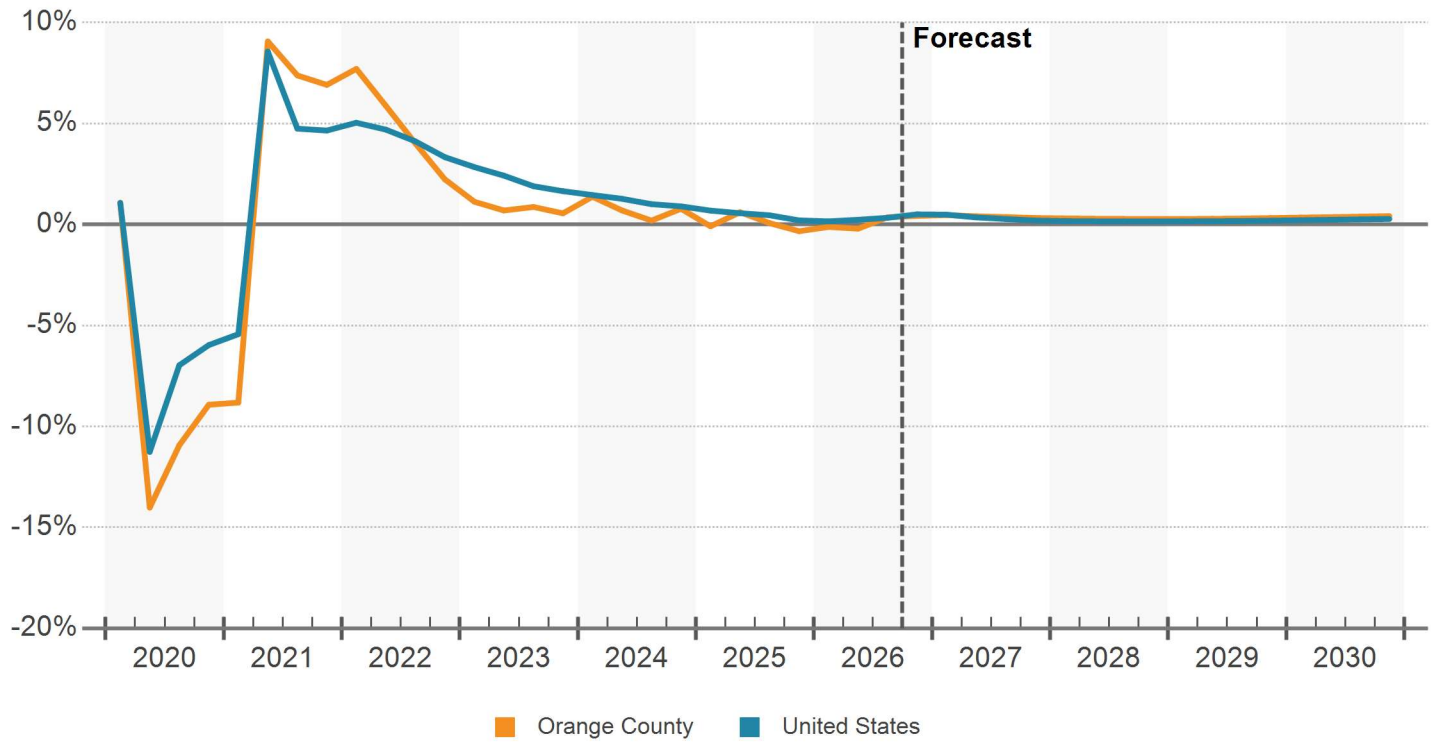
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ORANGE COUNTY EMPLOYMENT BY INDUSTRY IN THOUSANDS

	CURRENT JOBS		CURRENT GROWTH		10 YR HISTORICAL		5 YR FORECAST	
Industry	Jobs	LQ	Market	US	Market	US	Market	US
Manufacturing	149	1.1	-0.33%	0.25%	-0.63%	0.25%	-0.27%	0.04%
Trade, Transportation, and Utilities	257	0.8	0.63%	0.24%	-0.10%	0.56%	-0.03%	0.03%
Retail Trade	146	0.9	1.57%	0.35%	-0.43%	-0.21%	-0.07%	0.03%
Financial Activities	104	1.1	-1.12%	-1.14%	-1.37%	0.87%	-0.18%	0.02%
Government	148	0.6	-3.25%	-0.72%	-0.66%	0.45%	0.40%	0.25%
Natural Resources, Mining, and Construction	102	1.1	-1.36%	1.18%	0.43%	1.92%	0.19%	0.28%
Education and Health Services	298	1.0	3.38%	1.84%	3.69%	2.09%	0.78%	0.28%
Professional and Business Services	318	1.3	0.37%	0.70%	0.59%	1.06%	0.35%	0.34%
Information	21	0.7	-7.93%	-3.73%	-2.25%	-0.21%	-0.19%	0.03%
Leisure and Hospitality	242	1.3	1.33%	0.55%	1.20%	0.76%	0.94%	0.56%
Other Services	56	0.9	0.87%	0.51%	1.07%	0.56%	0.54%	0.16%
Total Employment	**1,695**	**1.0**	**0.38%**	**0.39%**	**0.63%**	**0.94%**	**0.36%**	**0.23%**

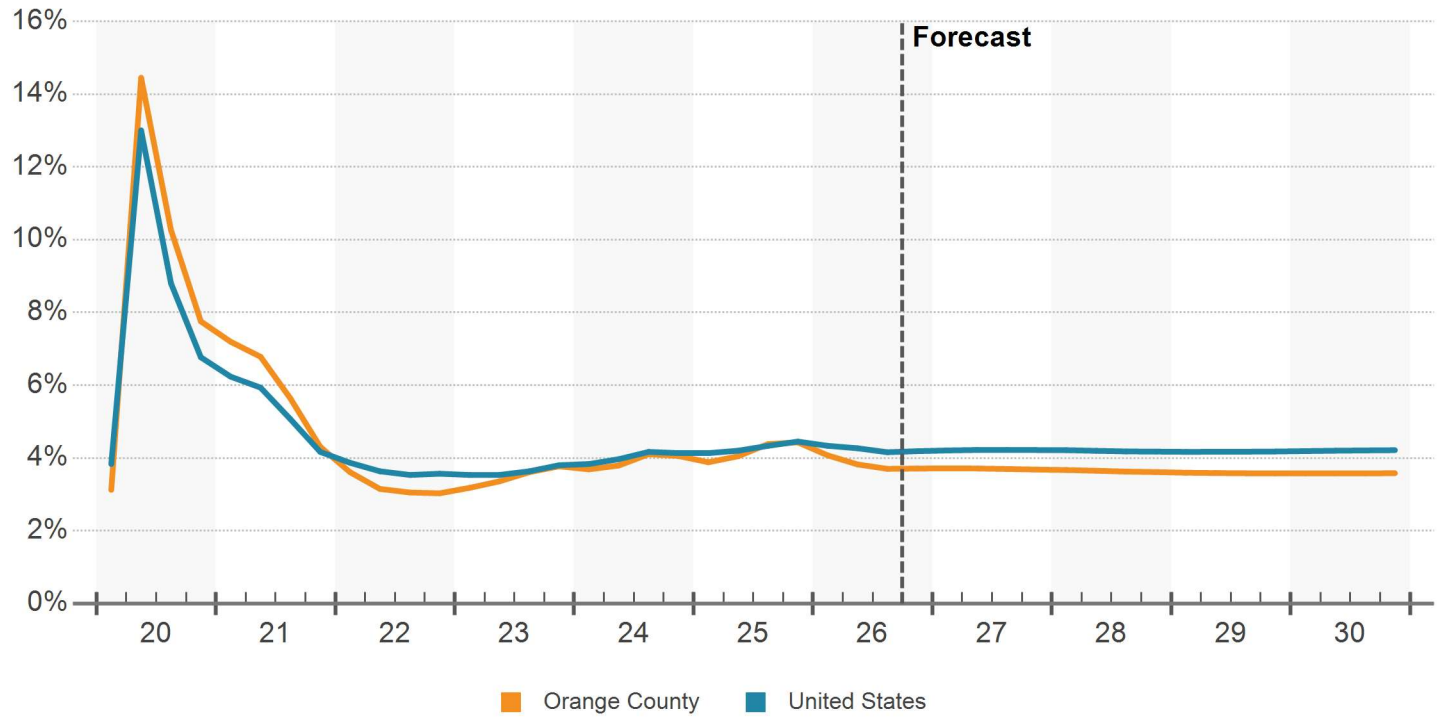
Source: Oxford Economics
LQ = Location Quotient

JOB GROWTH (YOY)

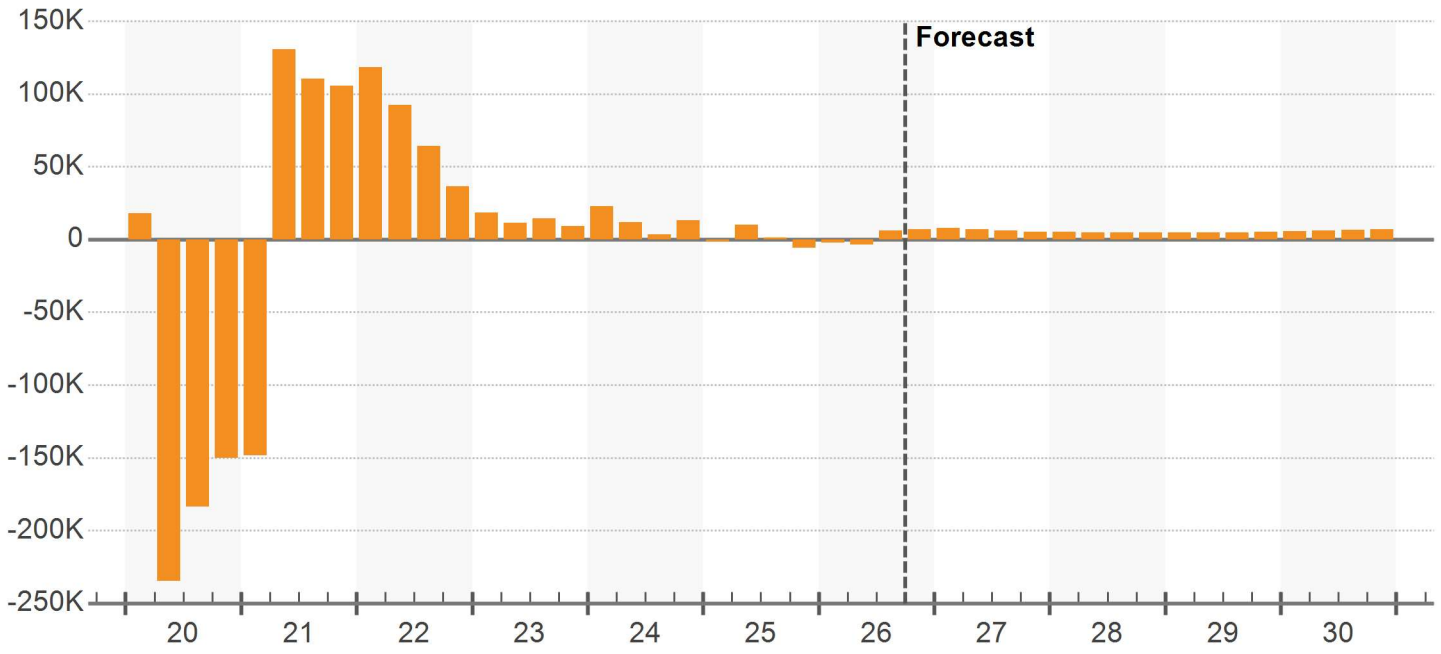


Source: Oxford Economics

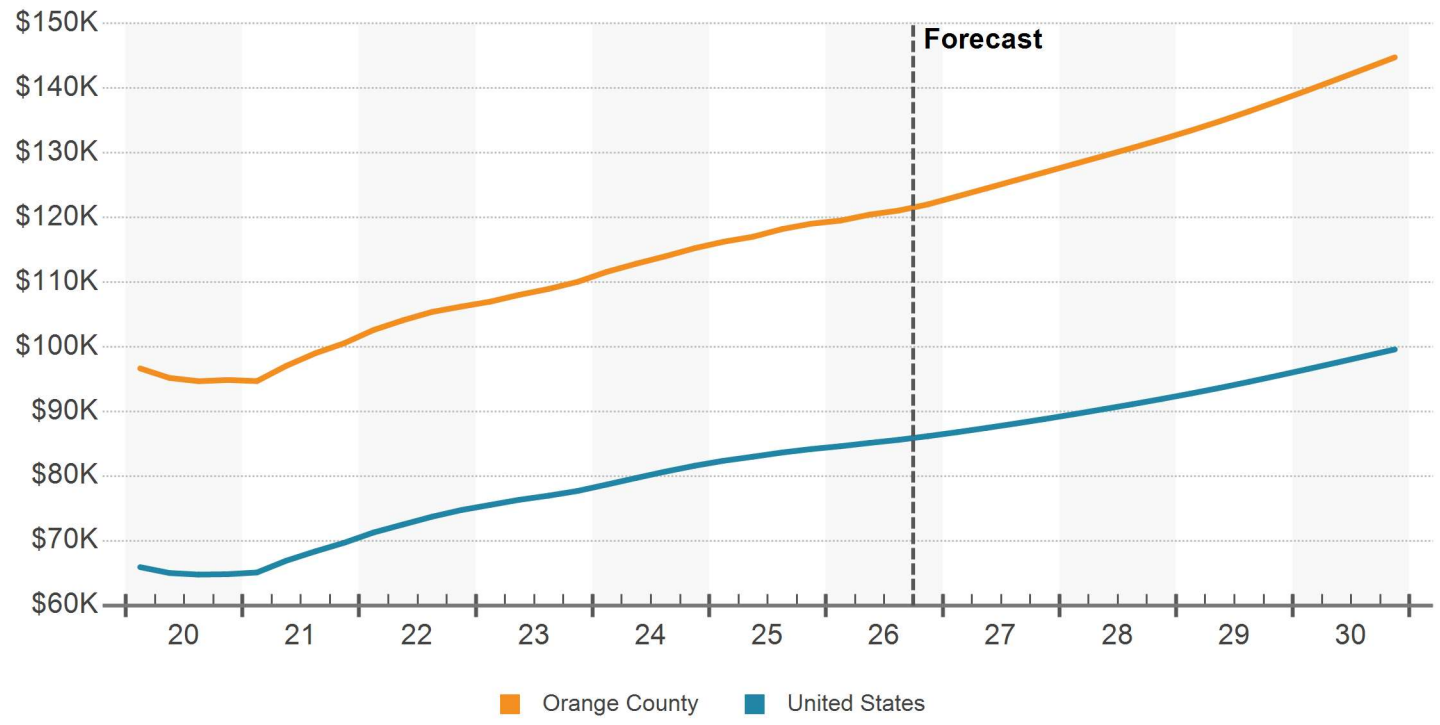
UNEMPLOYMENT RATE (%)



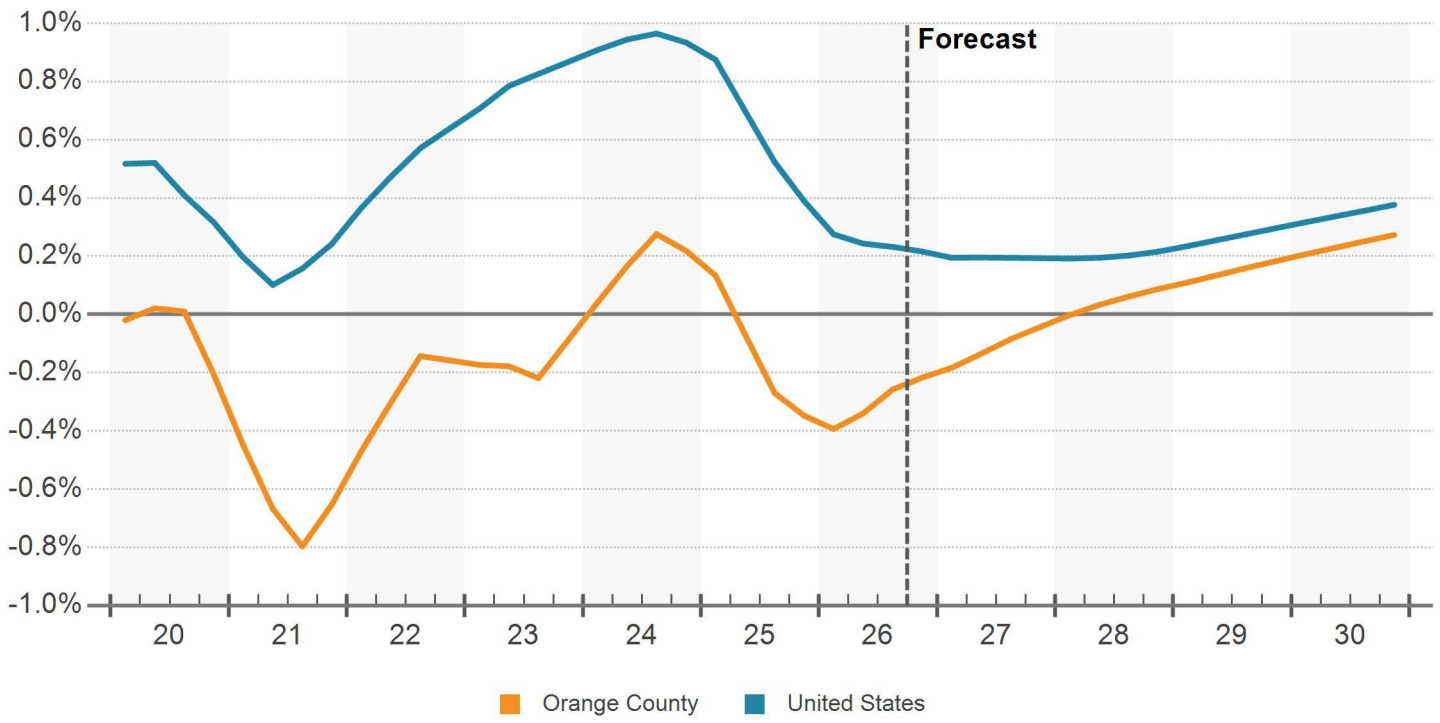
NET EMPLOYMENT CHANGE (YOY)



MEDIAN HOUSEHOLD INCOME



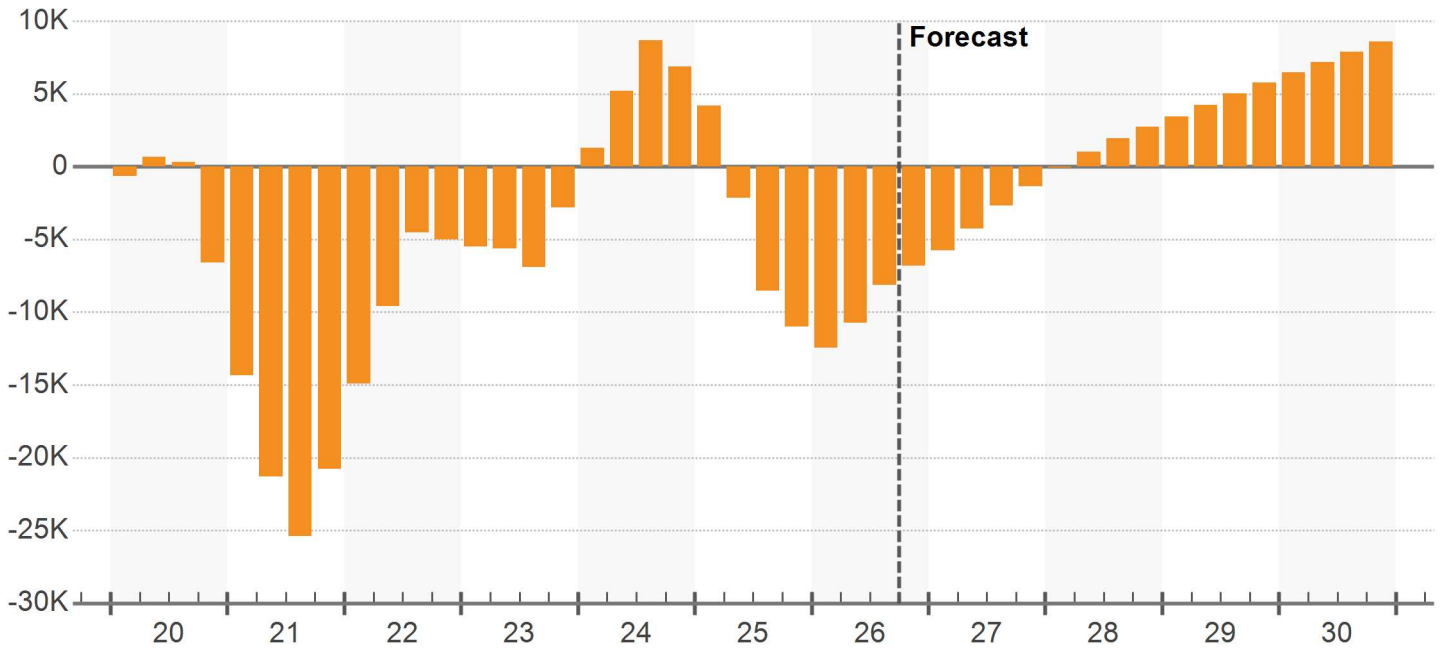
POPULATION GROWTH (YOY %)



Economy

Orange County Hospitality

NET POPULATION CHANGE (YOY)

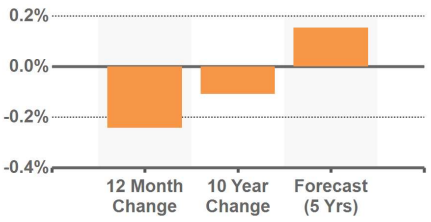


DEMOGRAPHIC TRENDS

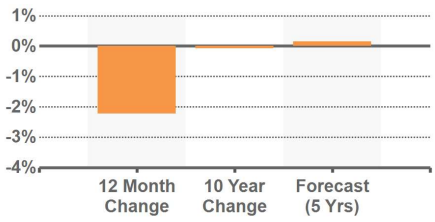
	Current Level		12 Month Change		10 Year Change		5 Year Forecast	
Demographic Category	**Metro**	**US**	**Metro**	**US**	**Metro**	**US**	**Metro**	**US**
Population	3,140,989	342,633,219	-0.2%	0.2%	-0.1%	0.5%	0.2%	0.3%
Households	1,095,902	134,695,672	0.2%	0.7%	0.4%	1.0%	0.4%	0.5%
Median Household Income	$121,375	$85,804	2.5%	2.4%	4.1%	4.1%	4.4%	3.7%
Labor Force	1,603,543	169,746,531	-2.2%	-0.8%	-0.1%	0.6%	0.2%	0.1%
Unemployment	3.7%	4.2%	-0.7%	-0.2%	0%	-0.1%	0%	0%

Source: Oxford Economics

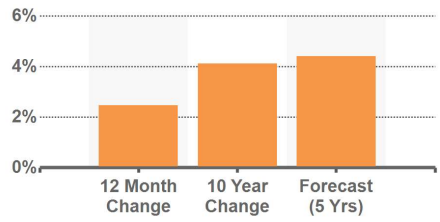
POPULATION GROWTH



LABOR FORCE GROWTH

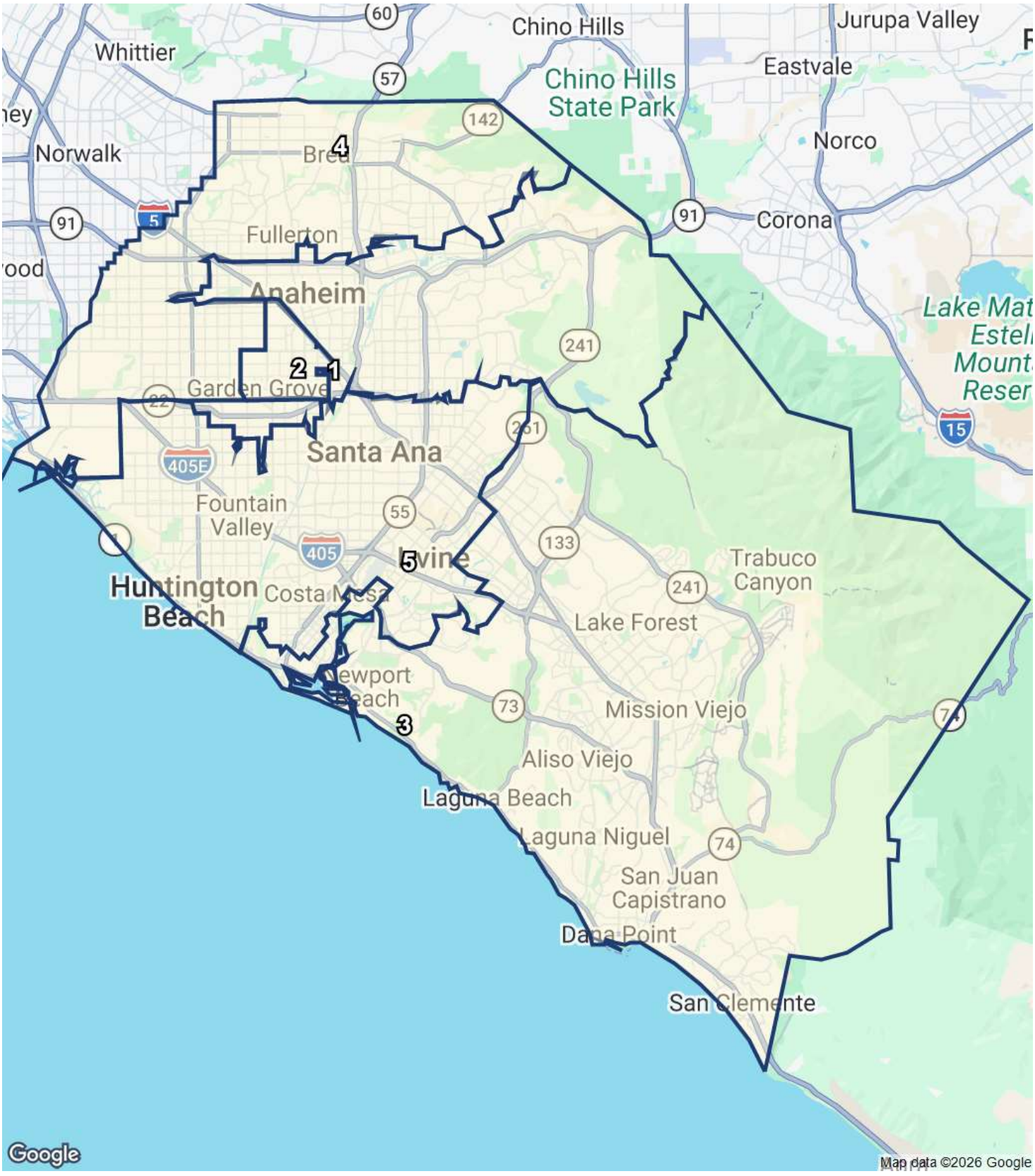


INCOME GROWTH



Source: Oxford Economics

ORANGE COUNTY SUBMARKETS



Submarkets

SUBMARKET INVENTORY

		Inventory				12 Month Deliveries				Under Construction			
#	Submarket	Bldgs	Rooms	% Market	Rank	Bldgs	Rooms	%	Rank	Bldgs	Rooms	% Market	Rank
1	Anaheim	69	5,445	9.0%	5	0	0	-	-	0	0	0%	5
2	Disneyland	97	21,211	35.2%	1	0	0	-	-	2	496	2.3%	1
3	Newport Beach/Dana Point	114	11,719	19.5%	3	0	0	-	-	0	0	0%	3
4	Orange County Northwest/F···	88	7,637	12.7%	4	0	0	-	-	0	0	0%	4
5	Santa Ana/Costa Mesa	116	14,209	23.6%	2	0	0	-	-	1	172	1.2%	2

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Submarkets

SUBMARKET PERFORMANCE

		12 Mo Occupancy			12 Mo ADR			12 Mo RevPAR		
#	Submarket	Rank	%	Year Growth	Rank	Per Room	Year Growth	Rank	Per Room	Year Growth
1	Anaheim	3	72.1%	4.8%	5	$130.80	3.7%	4	$94.35	8.7%
2	Disneyland	1	79.1%	4.8%	2	$254.91	5.5%	2	$201.54	10.5%
3	Newport Beach/Dana Point	4	71.2%	2.4%	1	$302.66	6.8%	1	$215.55	9.3%
4	Orange County Northwest/F…	5	70.9%	0%	4	$132.77	4.3%	5	$94.19	4.4%
5	Santa Ana/Costa Mesa	2	73.2%	3.8%	3	$174.20	3.4%	3	$127.46	7.3%

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Appendix

OVERALL SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	16,438,113	(102,132)	-0.6%	12,372,840	393,254	3.3%
2025	22,100,258	10,263	0%	15,995,350	158,557	1.0%
2024	22,089,995	187,533	0.9%	15,836,793	150,281	1.0%
2023	21,902,462	2,931	0%	15,686,512	308,877	2.0%
2022	21,899,531	1,115,689	5.4%	15,377,635	3,513,056	29.6%
2021	20,783,842	2,236,316	12.1%	11,864,579	3,706,618	45.4%
2020	18,547,526	(2,854,202)	-13.3%	8,157,961	(8,411,690)	-50.8%
2019	21,401,728	(1,339)	0%	16,569,651	129,859	0.8%
2018	21,403,067	264,780	1.3%	16,439,792	169,180	1.0%
2017	21,138,287	244,554	1.2%	16,270,612	136,965	0.8%
2016	20,893,733	515,469	2.5%	16,133,647	338,542	2.1%

LUXURY & UPPER UPSCALE SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	6,138,095	18,934	0.3%	4,673,897	244,853	5.5%
2025	8,189,154	66,727	0.8%	5,937,675	72,140	1.2%
2024	8,122,427	193,918	2.4%	5,865,535	14,116	0.2%
2023	7,928,509	61,579	0.8%	5,851,419	260,132	4.7%
2022	7,866,930	795,852	11.3%	5,591,287	1,928,446	52.6%
2021	7,071,078	1,493,210	26.8%	3,662,841	1,528,121	71.6%
2020	5,577,868	(2,071,118)	-27.1%	2,134,720	(3,950,845)	-64.9%
2019	7,648,986	22,203	0.3%	6,085,565	102,222	1.7%
2018	7,626,783	186,617	2.5%	5,983,343	147,320	2.5%
2017	7,440,166	107,520	1.5%	5,836,023	118,760	2.1%
2016	7,332,646	297,062	4.2%	5,717,263	156,464	2.8%

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UPSCALE & UPPER MIDSCALE SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	6,530,654	3,193	0%	5,016,118	153,355	3.2%
2025	8,728,285	44,580	0.5%	6,488,712	87,855	1.4%
2024	8,683,705	55,257	0.6%	6,400,857	44,574	0.7%
2023	8,628,448	40,862	0.5%	6,356,283	113,793	1.8%
2022	8,587,586	365,375	4.4%	6,242,490	1,428,921	29.7%
2021	8,222,211	783,696	10.5%	4,813,569	1,853,531	62.6%
2020	7,438,515	(573,845)	-7.2%	2,960,038	(3,349,569)	-53.1%
2019	8,012,360	87,599	1.1%	6,309,607	30,895	0.5%
2018	7,924,761	173,750	2.2%	6,278,712	130,842	2.1%
2017	7,751,011	318,313	4.3%	6,147,870	257,252	4.4%
2016	7,432,698	311,055	4.4%	5,890,618	255,439	4.5%

MIDSCALE & ECONOMY SUPPLY & DEMAND

	Supply			Demand		
Year	Available Rooms	Change	% Change	Occupied Rooms	Change	% Change
2030	-	-	-			
2029	-	-	-			
2028	-	-	-			
2027	-	-	-			
2026	-	-	-			
YTD	3,769,364	(124,259)	-3.2%	2,682,825	(4,954)	-0.2%
2025	5,182,819	(101,044)	-1.9%	3,568,963	(1,438)	0%
2024	5,283,863	(61,642)	-1.2%	3,570,401	91,591	2.6%
2023	5,345,505	(99,510)	-1.8%	3,478,810	(65,048)	-1.8%
2022	5,445,015	(45,538)	-0.8%	3,543,858	155,689	4.6%
2021	5,490,553	(40,590)	-0.7%	3,388,169	324,967	10.6%
2020	5,531,143	(209,239)	-3.6%	3,063,202	(1,111,277)	-26.6%
2019	5,740,382	(111,141)	-1.9%	4,174,479	(3,258)	-0.1%
2018	5,851,523	(95,587)	-1.6%	4,177,737	(108,982)	-2.5%
2017	5,947,110	(181,279)	-3.0%	4,286,719	(239,048)	-5.3%
2016	6,128,389	(92,648)	-1.5%	4,525,767	(73,360)	-1.6%

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OVERALL PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	75.3%	3.9%	$221.58	6.3%	$166.78	10.5%
2025	72.4%	1.0%	$209.46	0.8%	$151.60	1.8%
2024	71.7%	0.1%	$207.75	-1.6%	$148.94	-1.5%
2023	71.6%	2.0%	$211.11	4.3%	$151.20	6.4%
2022	70.2%	23.0%	$202.31	19.3%	$142.06	46.7%
2021	57.1%	29.8%	$169.58	24.9%	$96.81	62.1%
2020	44.0%	-43.2%	$135.76	-17.9%	$59.71	-53.4%
2019	77.4%	0.8%	$165.36	2.3%	$128.02	3.1%
2018	76.8%	-0.2%	$161.68	3.4%	$124.19	3.1%
2017	77.0%	-0.3%	$156.42	3.8%	$120.40	3.5%
2016	77.2%	-0.4%	$150.65	4.5%	$116.33	4.1%

LUXURY & UPPER UPSCALE PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	76.1%	5.2%	$329.35	6.7%	$250.78	12.3%
2025	72.5%	0.4%	$309.62	1.4%	$224.49	1.8%
2024	72.2%	-2.2%	$305.41	-0.7%	$220.55	-2.9%
2023	73.8%	3.8%	$307.67	3.5%	$227.07	7.5%
2022	71.1%	37.2%	$297.32	4.7%	$211.32	43.6%
2021	51.8%	35.4%	$284.05	17.7%	$147.14	59.4%
2020	38.3%	-51.9%	$241.25	2.0%	$92.33	-50.9%
2019	79.6%	1.4%	$236.54	2.3%	$188.19	3.8%
2018	78.5%	0%	$231.17	3.9%	$181.36	3.9%
2017	78.4%	0.6%	$222.45	2.2%	$174.49	2.8%
2016	78.0%	-1.4%	$217.59	2.8%	$169.66	1.4%

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UPSCALE & UPPER MIDSCALE PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	76.8%	3.1%	$183.25	4.1%	$140.75	7.4%
2025	74.3%	0.9%	$176.99	0.8%	$131.58	1.6%
2024	73.7%	0.1%	$175.64	-1.1%	$129.47	-1.0%
2023	73.7%	1.3%	$177.60	3.8%	$130.83	5.2%
2022	72.7%	24.2%	$171.10	23.1%	$124.38	52.9%
2021	58.5%	47.1%	$138.97	13.9%	$81.36	67.5%
2020	39.8%	-49.5%	$122.06	-17.5%	$48.57	-58.3%
2019	78.7%	-0.6%	$148.04	2.1%	$116.58	1.5%
2018	79.2%	-0.1%	$145.02	1.4%	$114.90	1.2%
2017	79.3%	0.1%	$143.07	4.2%	$113.48	4.3%
2016	79.3%	0.2%	$137.25	4.6%	$108.77	4.8%

MIDSCALE & ECONOMY PERFORMANCE

	Occupancy		ADR		RevPAR	
Year	Percent	% Change	Per Room	% Change	Per Room	% Change
2030						
2029						
2028						
2027						
2026						
YTD	71.2%	3.1%	$105.50	3.1%	$75.09	6.3%
2025	68.9%	1.9%	$101.83	-2.9%	$70.12	-1.1%
2024	67.6%	3.8%	$104.90	-4.6%	$70.88	-0.9%
2023	65.1%	0%	$109.92	2.4%	$71.54	2.4%
2022	65.1%	5.5%	$107.37	20.2%	$69.88	26.8%
2021	61.7%	11.4%	$89.33	18.3%	$55.12	31.9%
2020	55.4%	-23.8%	$75.48	-14.0%	$41.80	-34.5%
2019	72.7%	1.9%	$87.77	0.6%	$63.83	2.5%
2018	71.4%	-1.0%	$87.21	1.8%	$62.26	0.8%
2017	72.1%	-2.4%	$85.68	2.6%	$61.76	0.1%
2016	73.8%	-0.1%	$83.53	6.4%	$61.69	6.3%

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OVERALL SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$414,510	338	7.3%
2029	-	-	-	-	-	-	$409,234	334	7.3%
2028	-	-	-	-	-	-	$404,032	330	7.3%
2027	-	-	-	-	-	-	$393,142	321	7.3%
2026	-	-	-	-	-	-	$383,617	313	7.4%
YTD	9	$163.5M	1.2%	$20,431,250	$221,177	5.0%	$383,771	313	7.4%
2025	14	$123.4M	1.9%	$9,492,385	$104,577	-	$371,505	303	7.4%
2024	14	$571.9M	2.6%	$43,995,643	$354,804	3.0%	$358,604	293	7.4%
2023	15	$242.2M	2.0%	$17,300,214	$201,333	7.3%	$311,393	254	7.3%
2022	37	$1.4B	6.7%	$42,610,828	$345,545	4.4%	$271,696	222	7.1%
2021	47	$598.7M	6.1%	$17,105,668	$158,722	5.8%	$242,483	198	7.1%
2020	17	$429.6M	4.0%	$25,273,265	$176,446	7.3%	$244,695	200	7.6%
2019	21	$914.9M	4.2%	$57,180,156	$369,649	7.0%	$263,830	215	7.6%
2018	12	$247M	2.1%	$20,581,250	$200,142	8.9%	$270,430	221	7.5%
2017	31	$556M	4.4%	$26,475,534	$217,437	6.2%	$256,812	210	7.5%
2016	21	$777.2M	3.2%	$43,179,917	$413,885	7.1%	$238,421	195	7.6%

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LUXURY & UPPER UPSCALE SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$694,836	353	6.7%
2029	-	-	-	-	-	-	$685,991	348	6.7%
2028	-	-	-	-	-	-	$677,271	344	6.6%
2027	-	-	-	-	-	-	$659,016	335	6.7%
2026	-	-	-	-	-	-	$643,050	327	6.7%
YTD	2	$11.4M	0.1%	$11,400,000	$518,182	-	$643,276	327	6.7%
2025	1	$0	0%	-	-	-	$619,965	315	6.8%
2024	4	$136.7M	1.9%	$45,578,167	$315,056	3.0%	$601,061	305	6.8%
2023	1	$0	0%	-	-	-	$525,871	267	6.7%
2022	6	$965.6M	5.1%	$160,926,135	$843,730	-	$453,594	230	6.6%
2021	7	$129.6M	2.7%	$18,516,786	$216,390	-	$394,805	200	6.6%
2020	3	$274.4M	4.8%	$91,466,667	$263,593	-	$388,139	197	7.1%
2019	5	$760.8M	6.7%	$190,200,625	$542,268	8.8%	$415,324	211	7.2%
2018	3	$123.8M	2.3%	$41,266,667	$259,539	9.5%	$431,968	219	7.0%
2017	4	$245.4M	3.9%	$61,356,250	$304,876	5.7%	$410,522	208	7.1%
2016	5	$606.3M	4.8%	$151,575,000	$623,765	8.4%	$383,743	195	7.1%

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UPSCALE & UPPER MIDSCALE SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$280,344	320	7.5%
2029	-	-	-	-	-	-	$276,775	316	7.5%
2028	-	-	-	-	-	-	$273,257	312	7.5%
2027	-	-	-	-	-	-	$265,892	304	7.5%
2026	-	-	-	-	-	-	$259,450	297	7.5%
YTD	3	$128M	2.4%	$42,650,000	$223,298	5.0%	$259,573	297	7.6%
2025	4	$55.3M	1.9%	$13,812,500	$119,589	-	$251,820	288	7.6%
2024	7	$400.5M	4.0%	$57,220,000	$415,498	-	$240,932	275	7.6%
2023	5	$159.6M	2.8%	$31,912,000	$241,758	6.7%	$205,728	235	7.5%
2022	16	$275M	6.6%	$22,916,708	$177,420	-	$183,778	210	7.3%
2021	12	$327.2M	7.8%	$32,715,519	$177,898	5.8%	$170,171	195	7.3%
2020	7	$91.8M	3.8%	$13,111,071	$104,293	7.3%	$179,621	205	7.7%
2019	4	$78.3M	1.5%	$26,093,333	$233,672	7.5%	$195,698	224	7.7%
2018	3	$56.4M	1.1%	$18,808,333	$226,606	-	$196,877	225	7.5%
2017	14	$223.7M	4.6%	$31,956,184	$225,725	5.6%	$186,870	214	7.6%
2016	5	$119.1M	2.7%	$23,810,000	$209,595	-	$172,221	197	7.7%

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MIDSCALE & ECONOMY SALES

	Completed Transactions (1)						Market Pricing Trends (2)		
Year	Deals	Volume	Turnover	Avg Price	Avg Price/Room	Avg Cap Rate	Price/Room	Price Index	Cap Rate
2030	-	-	-	-	-	-	$182,113	306	8.1%
2029	-	-	-	-	-	-	$179,794	302	8.1%
2028	-	-	-	-	-	-	$177,509	298	8.0%
2027	-	-	-	-	-	-	$172,725	290	8.1%
2026	-	-	-	-	-	-	$168,540	283	8.1%
YTD	4	$24.1M	1.0%	$6,025,000	$167,361	-	$168,599	283	8.1%
2025	9	$68.2M	5.1%	$7,572,333	$94,918	-	$166,844	280	8.2%
2024	3	$34.7M	1.5%	$11,556,284	$162,004	-	$160,419	269	8.1%
2023	9	$82.6M	3.7%	$9,182,556	$152,197	7.6%	$138,826	233	8.0%
2022	15	$165.6M	9.3%	$11,040,000	$120,436	4.4%	$122,379	205	7.8%
2021	28	$141.9M	8.8%	$7,884,761	$106,391	-	$115,156	193	7.7%
2020	7	$63.5M	3.3%	$9,066,857	$123,479	-	$119,510	201	8.1%
2019	12	$75.8M	4.7%	$8,422,222	$102,849	6.2%	$130,583	219	8.2%
2018	6	$66.8M	3.2%	$11,125,000	$131,398	7.8%	$129,925	218	8.0%
2017	13	$86.9M	4.7%	$8,686,792	$114,150	6.9%	$123,032	207	8.1%
2016	11	$51.9M	2.0%	$5,765,389	$153,558	5.9%	$112,073	188	8.3%

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DELIVERIES & UNDER CONSTRUCTION

	Inventory			Deliveries		Net Deliveries		Under Construction	
Year	Bldgs	Rooms	% Change	Bldgs	Rooms	Bldgs	Rooms	Bldgs	Rooms
YTD	484	60,221	-	0	0	(3)	(127)	3	668
2025	488	60,547	-0.6%	1	91	(2)	(204)	2	543
2024	493	60,929	0.4%	2	299	0	234	2	462
2023	492	60,686	-0.3%	2	474	(2)	276	3	390
2022	494	60,858	-0.8%	2	262	(3)	(208)	4	744
2021	497	61,354	1.3%	6	725	(3)	(159)	4	736
2020	494	60,580	2.4%	8	2,023	7	1,999	8	973
2019	487	59,172	0.9%	4	606	1	509	15	2,378
2018	487	58,634	0%	2	299	(1)	10	10	1,658
2017	488	58,610	1.4%	8	1,141	6	963	5	1,041
2016	481	57,795	2.2%	8	1,829	4	1,362	9	1,363

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